KPMG

# YF Life Insurance International Limited

Annual Report and Financial Statements
for the year ended 31 December 2024

# Directors' Report

The directors submit herewith their annual report together with the audited financial statements for the year ended 31 December 2024.

## Principal place of business

YF Life Insurance International Limited ("the company") is a company incorporated and domiciled in Hong Kong and has its registered office and principal place of business at 27/F, YF Life Tower, 33 Lockhart Road, Wanchai, Hong Kong.

## Principal activities

The principal activity of the company is the writing of long term assurance business. The principal activities and other particulars of the subsidiaries are set out in note 15 to the financial statements.

## Business review

### *Overview of the business*

During the year 2024, YF Life Insurance International Limited and its subsidiary companies (the "group") remained as authorised insurer licensed to carry on life and annuity, linked long term, permanent health, and retirement scheme management long term insurance businesses in Hong Kong. We also operate in Macao through a branch office and is licensed to sell life insurance products in Macao.

Our group is committed to meeting our clients' various needs by continuously enhancing our product offerings and maintaining a diversified product suite. Our four flagship products include: (i) the "Prosperous Infinity Saver", a flexible participating savings plan that we launched at the beginning of the year to allow our customers to accumulate wealth, including key features such as multiple policy currency exchange, flexible policy-split, bonus lock-in, premium holiday, and also the freedom to convert the cash value into lifetime annuity income; (ii) the "PrimeHealth" series which are critical illness products covering a wide range of illnesses; (iii) the "FLEXI-ULife Prime Saver", a flexible universal life insurance plan; and (iv) the "MY Flexi Lifetime Annuity", a plan providing guaranteed lifetime annuity income to act as a safety net during the customer's retirement.

As of 31 December 2024, the tied agency force consisted of approximately 2,979 (2023: 3,050) agents in Hong Kong and Macao. In addition to the tied agency force, we also utilise brokers and agency intermediaries as well as banks and other financial institutions to distribute insurance products. The group has approximately 545 (2023: 518) employees and about 537,000 (2023: 536,000) in-force individual policies.

## Business review (continued)

***Principal risks and uncertainties facing the company***

1) Insurance risks

The company prices its products based on estimated benefit payments reflecting assumptions with respect to mortality, morbidity, longevity, persistency, interest rates and other factors. If actual policy experience emerges that is significantly and adversely different from assumptions used in product pricing, the effect could be material to the profitability of the company. For participating whole life products, the company's dividends to policyholders primarily reflect the difference between actual investment, mortality, expense and persistency experience and the experience embedded in the whole life premiums and guaranteed elements. The company also makes use of reinsurance to mitigate the impact of its underwriting risk.

The overall claims experience in 2024 was satisfactory and it was lower than the pricing assumption. Hence, the insurance risk is within manageable range.

2) Currency exchange risks

The company's currency exchange risk is mainly related to certain policies that are not written in United States (U.S.) dollars. However, most of the policies are denominated in U.S. dollars and Hong Kong dollars. As the company's investments are primarily made in U.S. dollars, coupled with the fact that the Hong Kong dollar is pegged to the U.S. dollar, management does not believe that the currency risk is material.

For investments made in non-U.S. dollars, the company mitigates currency risk through the use of cross-currency swaps and forward contracts. Cross-currency swaps are used to minimize currency risk for certain non-U.S. dollar assets and liabilities through a pre-specified exchange of interest and principal. Forward contracts are used to hedge movement in exchange rates.

In year 2024, majority of HKD liabilities were hedged by currency swaps and forward contracts.

3) Investment and interest rate risks

Interest rate risk is the potential for interest rates to change, which can cause fluctuations in the value of investments and in the amounts due to policyholders. To the extent that fluctuations in interest rates cause the duration of assets and liabilities to differ, the company controls its exposure to this risk by, among other things, asset and liability matching techniques that account for the cash flow characteristics of the assets and liabilities.

To assess the ability of the company to withstand adverse change in interest rates, Sensitivity Analyses are performed regularly. According to the latest report (Own Risk and Solvency Assessment (ORSA) Report for the financial year ended 31 December 2023), all the sensitivity scenario tests related to investment and interest rate risks are satisfactory, showing that the company's investment and interest rate risks are under control.

## Business review (continued)

***Principal risks and uncertainties facing the company (continued)***

4) Credit risks

Credit risk is the risk that issuers of investments owned by the company may default or that other parties may not be able to pay amounts due to the company. The company attempts to manage its investments to limit credit risk by diversifying its portfolio among various security types and industry sectors as well as purchasing credit default swaps to transfer some of the risk if necessary.

To consider the resilience of the business to counterparty default events, the Dynamic Solvency Test were performed regularly. According to the latest reports (Dynamic Solvency Test for year 2023), all the scenario tests related to credit risks were passed, showing that the company is maintaining the credit risk exposure within acceptable levels.

5) Cyber risks

Cyber risk means any risk of financial loss, disruption or damage to the reputation of an organization from some sort of failure of its information technology systems.

For the year of 2024, the top cyber threats under concerns are:

a) Data Loss or Theft. Confidential or restricted information has been exposed to an unauthorized party, internally or externally.

b) Attrition/Denial of Service. An attempt to make online service unavailable by overwhelming them with traffic from multiple sources; attacks that compromise, degrade, or destroy systems, or networks, over time.

c) Supplier/Third Party Breach. When a third party that the company has a business relationship experiences a breach where the company's confidential or restricted information has been compromised.

d) Improper Usage. Any unauthorized activity resulting in violation of the company's Technology Acceptable Use Policy by an authorized user.

e) Insider Threat. An insider threat can occur from people who have some level of access to the company's networks, computer system(s) or data, including: employees, former employees, contractors, business associates, or anyone who intentionally misuses that access to negatively affect the confidentiality, integrity, and availability of the company's information or information systems.

f) Malware/Ransomware. Software that is intended to damage or disable computers and computer systems.

The cyber risk was monitored with periodic monitoring reports and the monthly Operational KRI Report. The reports in year 2024 showed that the number of incidents was stable and manageable. There was no cyber issues to be alerted.

## Business review (continued)

### *Principal risks and uncertainties facing the company (continued)*

5) Cyber risks (continued)

GL20 (Guideline on Cybersecurity) update

Hong Kong Insurance Authority has started consultation of GL20 (revised) implementation in Q4 2024. The company has been preparing the revised guideline enforcement back in 2H 2024, and improvement on cybersecurity governance & controls will be implemented following the publishment of final GL20 (revised) in January 2025.

6) Other operational risks

Operational risk is the risk of loss (or unintended gain/profit) arising from inadequate or failed internal processes, or from personnel and systems, or from external events.

The operational risks were monitored with monthly Operational KRI Report. The reports in year 2024 showed that the number of incidents was stable and manageable. There was no operational issue to be alerted.

### *Future development in the company's business*

In year 2025 and beyond, our group will continue to develop its tied agency, brokerage and bancassurance distribution channels to increase penetration in the market, to broaden its access to potential customers and to meet the evolving preferences of existing customers. We will continue to grow our tied agency force while expanding our brokerage and bancassurance distribution channels by exploring new partnerships. As regards to product, we are committed to developing innovative products and delivering our "product + service" proposition by enhancing our one-stop value-added service platform to provide customers with comprehensive solutions. Technology empowerment is also a core concept of our group, and we will continue to improve information technology capability and leverage the usage of digital platforms to match the preferences of customers and improve operational efficiency.

## Business review (continued)

### *Key financial performance indicators*

The key financial data of the group is presented under Hong Kong Financial Reporting Standards ("HKFRS") on a full year basis except for those where other basis and consideration are stated:

| | *2024* HK$ million | *2023* HK$ million | *Change %* |
|---|---|---|---|
| Insurance revenue (note a) | 2,801 | 2,627 | 7 |
| Insurance service expenses (note b) | (2,108) | (2,054) | 3 |
| Net expenses from reinsurance contracts | (59) | (26) | 1 time |
| Insurance service result (note c) | 634 | 547 | 16 |
| Investment return | 3,706 | 3,133 | 18 |
| Net finance expenses from insurance contracts (note d) | (3,098) | (2,294) | 35 |
| Net finance income from reinsurance contracts (note d) | 247 | 85 | 2 times |
| Movement in investment contract liabilities | (203) | (208) | (2) |
| Net financial result | 652 | 716 | (9) |
| Revenue from investment management services and other income | 101 | 89 | 13 |
| Other operating expenses (note e) | (289) | (274) | 5 |
| Profit before taxation | 1,098 | 1,078 | 2 |
| Taxation | (126) | (105) | 20 |
| Profit after taxation | 972 | 973 | - |

Note a: The amount reflects the consideration which the insurer expects to be entitled for the service provided on an earned basis.

Note b: The amount reflects service expenses arising from insurance contracts issued by the group including incurred claims and other expenses.

Note c: The balance represents the net result of insurance revenue, insurance service expenses and net of expense/income from reinsurance contract, which comprised of contractual service margin ("CSM") release and fulfilment cash flow variance as explained in more details under insurance contract liabilities and reinsurance contract assets section.

Note d: The amount reflects change in carrying amount of insurance and reinsurance contracts arising from effect of change in discount rates and financial risks.

Note e: The amount mainly represents operating expenses for supporting MPF business, back office supporting function, investment contract operation etc.

## Business review (continued)

### *Net operating income*

For management decision making and internal performance management purpose, the group refers to the net operating income ("NOI") representing profit generate from core business activities for the year increase by 13% to HK$1,167 million.

| | *2024* HK$ million | *2023* HK$ million | *Change %* |
|---|---|---|---|
| Insurance service result (Note 1) | 580 | 471 | 23 |
| Investment result (Note 2) | 886 | 839 | 6 |
| Others (Note 3) | (299) | (274) | 9 |
| **Net operating income** | 1,167 | 1,036 | 13 |
| Adjust for the following income and expenses impact: | | | |
| - Short-term fluctuations in investment returns, exchange fluctuation and discount rate (Note 4) | (278) | (128) | 1 time |
| - Other transactions (Note 5) | 83 | 65 | 28 |
| **Profit for the year** | 972 | 973 | - |

Note 1: The balance represents the difference between insurance revenue and insurance service expenses for provision of services net of the reinsurance contract results excluding exchange adjustment. The key driver for insurance service result is the net CSM release.

| | *2024* HK$ million | *2023* HK$ million | *Change %* |
|---|---|---|---|
| Net CSM release | 646 | 622 | 4 |
| Impact of variances and risk adjustment net of reinsurance result | (66) | (151) | (56) |
| Insurance service result | 580 | 471 | 23 |

## Business review (continued)

### *Net operating income (continued)*

Note 2: The balance represents net financial result of investment return, net finance income/ (expenses) from insurance and reinsurance contracts and movement of investment contract liability excluding exchange adjustment. The increase of balance is mainly contributed by a larger pool of investment assets.

| | *2024* HK$ million | *2023* HK$ million | *Change %* |
|---|---|---|---|
| Interest Income and others | 2,985 | 2,759 | 8 |
| Investment return for equities | 247 | 255 | (3) |
| Insurance finance expenses and others | (2,346) | (2,175) | 8 |
| Investment result | 886 | 839 | 6 |

The investment income excludes income arising from investment-linked insurance products and direct participating contracts.

Note 3: The balance represents net result of revenue from investment management services and other income and other operating expenses. The increase in balance is mainly contributed by increase in tax.

Note 4: The balance comprise of below items which are considered not relevant to our core business and the related decision making and internal management purpose.

Short term fluctuation represents difference between current year return and long term supportable expected return of all equities and funds excluding mutual funds investment, impairment, unrealised gain or loss, profit or loss from disposal of investment, exchange fluctuation on both asset and liability and discount rate impact on liability which is affected by short term economic environment without long term economic impact on the core business.

Note 5: Other transactions represent the impact which management considers not related to core business activities and therefore excluded from NOI for better understanding. (e.g. non-recurring other income, maintenance cost of HKFRS 17 etc.)

## Business review (continued)

### *Net operating income (continued)*

### *Assets and liabilities*

The following table sets out the key financial information with respect to the assets and liabilities.

| | *As at 31 December 2024* HK$ million | *As at 31 December 2023* HK$ million |
|---|---|---|
| Investments (excluding unit-linked investments) | 72,031 | 67,624 |
| Unit-linked investments | 5,663 | 5,748 |
| Cash and deposits | 4,895 | 4,311 |
| Reinsurance contract assets | 6,791 | 6,518 |
| Other assets | 2,684 | 2,192 |
| Total assets | 92,064 | 86,393 |
| Insurance contract liabilities | 69,618 | 63,577 |
| Investment contract liabilities | 5,096 | 5,122 |
| Other liabilities | 1,512 | 1,350 |
| Total liabilities | 76,226 | 70,049 |
| Net assets | 15,838 | 16,344 |
| Net CSM | 8,219 | 7,224 |
| Comprehensive Equity | 24,057 | 23,568 |

## Business review (continued)

### *Assets and liabilities (continued)*

As at 31 December 2024, the asset allocation of debt securities, loans and receivables, equity securities are approximately 85%, 6% and 9% of the investments (excluding unit-linked investments) respectively. As at 31 December 2024, 98.1% (2023: 97.9%) of the debt securities are investment grade rated (i.e. BBB- or above) by reputable credit rating agencies. As at 31 December 2024, 82.6% (2023: 88.5%) of the loans and receivables are investment grade rated (i.e. BBB- or above) as assessed by internal rating analysis with the support from external investment manager using similar credit rating methodology from reputable credit rating agencies.

### *Investment assets*

The table below sets forth the asset allocation of the investment portfolio of which the company uses to monitor the performance of the investment portfolio. The debt securities and loans and receivables were reported at cost less accumulated amortisation and accumulated impairment before expected credit loss while equity securities and unit trusts were reported at fair value.

| | *As at 31 December 2024* HK$ million | *As at 31 December 2023* HK$ million |
|---|---|---|
| **General investment and surplus assets** | | |
| Debt securities | 62,834 | 61,172 |
| Loans and receivables | 4,317 | 5,035 |
| Equity securities | 2,590 | 2,436 |
| Cash for investment | 1,948 | 475 |
| | 71,689 | 69,118 |
| **Direct participating business** | | |
| Debt securities | 4,413 | 1,317 |
| Equity securities | 3,366 | 2,060 |
| Cash for investment | 859 | 1,840 |
| | 8,638 | 5,217 |
| **Unit-linked investments** | | |
| Equity securities | 5,663 | 5,748 |
| | 85,990 | 80,083 |

## Business review (continued)

### *Insurance contract liabilities and reinsurance contract assets*

The liability (or asset) recognised for a group of insurance and reinsurance contracts is measured as the sum of the fulfilment cash flow, cash flows arise as the group fulfils the contracts and contractual service margin presenting the unearned profit that the group will recognise as it provides insurance coverage in the future. The table below sets forth the related information.

| | *As at 31 December 2024* HK$ million | % | *As at 31 December 2023* HK$ million | % |
|---|---|---|---|---|
| Fulfilment cash flow | 54,608 | 87 | 49,835 | 87 |
| Net CSM | 8,219 | 13 | 7,224 | 13 |
| Net balance | 62,827 | 100 | 57,059 | 100 |
| Comprised of: | | | | |
| Insurance contract liabilities | 69,618 | | 63,577 | |
| Reinsurance contract assets | (6,791) | | (6,518) | |
| | 62,827 | | 57,059 | |

## Business review (continued)

***Insurance contract liabilities and reinsurance contract assets (continued)***

The table below sets forth the net CSM roll forward which provides information on the economic impact of changes during the year to understand the performance of our business in terms of future profitability and contribution to current year financial performance to align with NOI performance management purpose.

| | *Note* | *2024* HK$ million | *2023* HK$ million |
|---|---|---|---|
| CSM Value as at 1 January | | 7,224 | 7,304 |
| New business CSM | a | 732 | 1,031 |
| Expected return on in-force | b | 183 | 164 |
| Economic variances | c | 48 | 23 |
| Experience variances | d | 727 | (679) |
| Exchange rate impact and others | | (49) | 3 |
| CSM release | e | (646) | (622) |
| CSM Value as at 31 December | | 8,219 | 7,224 |

Note

a) It represents the effect of new contracts brought to CSM for the year.

b) It represents the effect of interest accreted on CSM which is measured at the discount rate at initial recognition for insurance contract portfolio applying general measurement model.

c) It represents the impact of economic variance and assumption change. Economic variance and assumption change mainly related to financial related adjustment including underlying market price change.

d) It represents the effect of experience adjustments and assumption update from 1) arising from premiums received in the period, including any related cash flows such as insurance acquisition cash flows that relate to future service, 2) changes in estimates of the present value of future cash flow of liabilities of remaining coverage, 3) difference between any investment component expected to become payable and the actual amount becomes payable in the period, 4) change of risk adjustment for non-financial risk that related to the future service.

e) The release of net CSM is based on coverage units, a function of quantity of benefit provided and expected coverage period, provided for the period of the group of contracts. The CSM release rate throughout 2024 remains stable compared with 2023.

## Business review (continued)

### Comprehensive Equity Movement

The table below sets forth the movement in comprehensive equity which is the total of net assets and net CSM. Comprehensive equity represents the aggregate value of historical profit and future profitability from in-force business net of cumulative returns to shareholders.

| | *2024*<br>HK$ million | *2023*<br>HK$ million |
|---|---|---|
| Balance as at 1 January | 23,568 | 23,096 |
| Net profit for the year | 972 | 973 |
| Foreign exchange reserve and tax | (16) | 70 |
| Net fair value reserve and other movement (Note 1) | (467) | (571) |
| Balance as at 31 December | 24,057 | 23,568 |

Note 1: Net fair value reserve included the net insurance finance reserve recognised in other comprehensive income. Net CSM movement is included in other movement.

### Financial Strength and Solvency Margin

During the year ended 31 December 2024, the group has strictly adhered to the regulatory minimum capital requirement as determined at the relevant time in accordance with the Insurance Ordinance ("IO") and maintain sufficient available capital for operation purpose.

The Hong Kong Risk-based Capital (HKRBC) regime was effective on 1 July 2024 under the IO. The HKRBC solvency ratio of the group as at 31 December 2024 is assessed and calculated to be over 240% (unaudited), representing a 37% increase compared to 203% (unaudited) as at 31 December 2023, which is higher than the regulatory minimum solvency ratio requirement of 100%. Our group will continue to strictly adhered to the HKRBC regime and maintain sufficient available capital for operation purpose.

## *Business review (continued)*

### *Environmental policies and performance*

*Use of resources*

The group strives to minimise resource consumption and adopts environmental best practices across its businesses. We regularly review our environmental practices and consider implementing additional eco-friendly measures, sustainability targets and practices to reinforce the principles of reduce, recycle and reuse, as well as further minimise our already low impact on the environment.

In our offices, we have adopted various green practices to reduce the consumption of resources including electricity, water and paper. Examples of such green practices are:

- Switching off lightings, air conditioning and electrical appliances when not in use to reduce energy consumption;

- Encouraging double-sided printing and the use of recycled paper for printing and copying; and

- Setting up recycling bins in office areas.

We have also been progressively digitalising our business operations. Following YF Life 3-Years Digitalization Plan (2023-2025), we plan to digitalize our sales and customer services journey via FinTech initiatives, by use of mobile APPs, chatbot, AI & data technologies, delivering excellent experience to our sales intermediates, business partners and customers, while from straight-through process automation to improve operations efficiency.

According to the work plan, key initiatives have been started in 2023 and would continue implementation in 2025 to achieve the preset project goals.

Among our equipment use within the office environment, the server units and data centres consume the most energy. Our servers have been hosted (outsourced) in premises managed by Data Center or Cloud service providers where they are proven to manage servers/equipment up to global sustainability standards to reduce CO2 emissions.

*Emissions*

With the group's major businesses focused on the development of insurance, majority of our operations are conducted in office environments with limited environmental impact. While we advocate the principle of environmental protection, we do not consider emissions including air, greenhouse gas (or carbon) and waste emissions to be material due to the nature of our business operations. We are however, aware of our impact on carbon emissions is mainly caused by the use of electricity, we strive to minimise the consumption from our offices to the servers and data centres.

The group does not have direct environmental emissions such as air, discharges to water and land as well as generation of hazardous and non-hazardous waste, and we adhere to all relevant and applicable environmental laws and regulations in the jurisdictions where we operate. No material non-compliance regarding emissions was reported during the reporting year.

## Business review (continued)

### *Environmental policies and performance (continued)*

*The environmental and natural resources*

As a financial institution, the impact of our business extend beyond our own operations to the impact our investment strategies have on the environment. While we have not formulated specific policies or guidelines on the ESG considerations of our investment strategies, ESG considerations are indirectly addressed as described below.

For our group, while we do not have specific ESG guidelines or instructions to our investment managers, majority of our portfolio belongs to fixed-income assets and we have appointed Barings to be the investment manager, who is a signatory of the Principle of Responsible Investment.

### *Compliance with the relevant laws and regulations*

The company has a Legal and Compliance Department which is responsible for performing contract-review functions and regulatory compliance functions of the company.

*Contract-review functions*

1) Develop contractual templates, where necessary and review mechanism to ensure these contractual templates are capable to accommodate changing circumstances and cater for market, legal and regulatory developments.

2) Perform legal review and conduct negotiations of contractual materials (e.g. tenancy agreements) to ensure their legal compliance and protect the interests of its existing and potential policyholders and shareholders.

*Regulatory compliance functions*

1) Develop compliance system and programs to monitor and ensure compliance with all the relevant laws, regulations, rules, guidance notes, guidelines, codes issued by the relevant regulators and standards & codes issued by the industry bodies.

2) Assist the accountable departments in developing relevant implementation measures to ensure compliance with all the relevant laws and regulatory requirements.

3) Review and report potential suspicious transactions identified by the first line/business departments, particularly preventing any money laundering or counter-terrorist financing activities.

4) Formulate and monitor the group's outsourcing policy and procedures for protecting the interests of its existing and potential policyholders.

5) Review new rules and regulations and assist accountable departments to make sure such new rules and regulations are implemented duly.

6) Assist in providing legal and compliance input in the trainings of management/staff/ agents for the compliance with the relevant regulatory requirements.

## Business review (continued)

***Compliance with the relevant laws and regulations (continued)***

To achieve the above key functions, the company has set up the following key programmes to implement the relevant policies and procedures to ensure compliance.

1) AML programme

   To ensure compliance with legislative requirements on anti-money laundering and counter-terrorist financing.

2) Privacy management programme

   To ensure compliance with legislative and regulatory requirements on personal data protection.

3) FATCA programme

   To ensure compliance with requirements on Foreign Account Tax Compliance Act.

4) CRS programme

   To ensure compliance with requirements on Common Reporting Standard.

The company adheres to the requirements of the Hong Kong Companies Ordinance and the Insurance Ordinance. The company was not prosecuted or punished for any non-compliance against the relevant laws and regulations relating to the company, for the financial year ended 31 December 2024.

***Relationships with its employees, customers and other stakeholders***

*Employee Health and safety*

The management places high importance on the health of employees and takes measures to increase the awareness of all staff members regarding occupational health and safety issues within the group. For instance, in the group office, assessment and training of Display Screen Equipment (DSE) was done with aim to help office staff to minimise health risks associated with prolonged work with their workstations.

While there is no significant health and safety risk in the office environment, employees are also expected to take all practical measures to ensure a safe and healthy working environment, in keeping with their defined responsibilities and applicable laws. Employees are encouraged to participate in fire drills initiated by the office building management to prepare for any possible emergency.

We seek to promote the well-being of employees by providing medical insurance coverage to our employees, covering services like clinical visits, specialist visits and health check-ups. In addition, we promote work-life balance among our staff through different programmes, for example work-from-home arrangements promoting flexibility of work, establishment of a relaxing area provided with massage chair, organising our employees to participate in charity runs to develop a healthy lifestyle while contributing to the community.

## Business review (continued)

***Relationships with its employees, customers and other stakeholders (continued)***

We offer Employee Assistance Program, supported by a consulting firm, to provide confidential counseling and support services to address personal and work-related challenge, including a 24/7/365 hotline, professional personal counselling and consultation, individual work/life coaching or online resources.

During the reporting year, we adhered to relevant laws and regulations and were not aware of any incidence of material non-compliance relating to health and safety.

*Employee development and training*

The group emphasises the importance of the on-going professional development of our employees and seeks to provide different training and development opportunities to assist their career progression. Through a relevant, systematic and organised training platform, we aim to align the knowledge and skill sets of our staff members with our business objectives and operation requirements, in order to enhance efficiency and productivity. We believe that upskilling our staff members can help reduce the overall compliance risks in the long run.

At the group, we offer both internal and external training to staff. To promote and cultivate the ongoing professional development of our staff, we arrange trainings on regulatory matters, such as anti-money laundering, personal data protection, etc. In the year, we have provided trainings covering topics like cybersecurity and anti-money laundering for our staff. We also support our employees to seek external education relevant to their job duties and provide benefits including examination leave and fee reimbursement.

While at the group, the staff training is broadly categorised into three main types for new, existing and management staff where each has key focus as follows:

- New staff: legal compliance, company product knowledge, service selling techniques and mentor training in person

- Existing staff: legal compliance and continuous professional development training (CPD)

- Management: leadership training

With the demand for insurance product from Mainland clients is increasing, we have established an internal guide for PRC business outlining the requirements for agents working on PRC customers e.g. physically visiting Hong Kong. All our agents are also required to complete the ongoing (e-refresher) training on regulatory matters, such as anti-money laundering.

## Business review (continued)

***Relationships with its employees, customers and other stakeholders (continued)***

*Customer privacy*

As a financial institution, we deal with sensitive information of our clients and it is important that we take the necessary steps to protect such information. We adhere strictly to the Personal Data (Privacy) Ordinance and any violation of data privacy obligations is subject to disciplinary actions. There are also internal compliance manuals to guide us on the proper handling of customer information.

*Customer feedback*

We welcome customer feedback and collect their opinions through different channels, including our staff, website and customer service hotline. We also regularly seek inputs from our front-line business units to look for areas that require improvement. We promptly handle all complaints from our customers, and for the group, we are also obliged to meet the response pledge as prescribed by regulatory requirements.

*Supply chain and counterparties management*

The group appoints various service providers to support our operations, particularly on IT services. When selecting these service providers, we consider different factors including price, capability and credential of suppliers, availability of local support and the possible synergy from leveraging on other services of suppliers.

## Recommended dividend

The directors recommended the distribution of a final dividend amounted to HK$300,000,000 (2023: nil) in respect of the year ended 31 December 2024 upon obtaining approval from regulators. The dividend distribution amount is to be made to each member of the Company based on their respective shareholding percentage in the ordinary shares issued by the Company. At the date of this report, the Company is in progress of obtaining regulators' approvals.

## Charitable donations

Charitable donations made by the group during the year amounted to HK$Nil (2023: HK$Nil).

## Fixed assets

Details of the movements in fixed assets during the year are set out in note 13 to the financial statements.

## Share capital

Details of the movements in share capital of the company are set out in note 26 to the financial statements.

## Directors

The directors during the financial year and up to the date of this report are:

| | |
|---|---|
| Xin HUANG | |
| Feng YU | |
| Man Ko CHAN | |
| Yu Lam Kenneth NG | (resigned on 28 March 2025) |
| Shu-Yen LIU | |
| Daqing QI | |
| Jinghui XU | |
| Shihao ZHUO | (appointed on 28 March 2025) |

There being no provision in the company's articles of association in connection with the retirement of directors, all existing directors continue in office for the following year.

At no time during the year was the company, any of its holding companies, subsidiaries or fellow subsidiaries a party to any arrangement to enable the directors of the company to acquire benefits by means of the acquisition of shares in or debentures of the company or any other body corporate.

The names of directors who have served on the boards of the subsidiaries of the company during the year and up to the date of this report included:

| | |
|---|---|
| Man Ko CHAN | |
| Chi Hung TSE | |
| Gah Jih WONG | |
| Tin Yau Elvin YU | |
| Ka Lin Victor YIP | (resigned on 1 July 2024) |
| Chi Ho TIU | (appointed on 26 September 2024) |
| Yimin QIAO | (appointed on 18 March 2025) |

## Directors' interests in transactions, arrangements or contracts

No transaction, arrangement or contract of significance to which the company, or any of its holding companies, subsidiaries or fellow subsidiaries was a party, and in which a director of the company had a material interest, subsisted at the end of the year or at any time during the year.

## Auditors

KPMG retire and, being eligible, offer themselves for re-appointment. A resolution for the re-appointment of KPMG as auditors of the company is to be proposed at the forthcoming Annual General Meeting.

By order of the board



Huang Xin

Director

Hong Kong,

28 MAR 2025

KPMG

# Independent auditor's report to the members of YF Life Insurance International Limited

*(Incorporated in Hong Kong with limited liability)*

## Opinion

We have audited the consolidated financial statements of YF Life Insurance International Limited ("the company") and its subsidiaries ("the group") set out on pages 23 to 139, which comprise the consolidated statement of financial position as at 31 December 2024, the consolidated statement of profit or loss, the consolidated statement of profit or loss and other comprehensive income, the consolidated statement of changes in equity and the consolidated statement of cash flows for the year then ended and notes, comprising material accounting policy information and other explanatory information.

In our opinion, the consolidated financial statements give a true and fair view of the consolidated financial position of the group as at 31 December 2024 and of the group's consolidated financial performance and consolidated cash flows for the year then ended in accordance with Hong Kong Financial Reporting Standards ("HKFRSs") issued by the Hong Kong Institute of Certified Public Accountants ("HKICPA") and have been properly prepared in compliance with the Hong Kong Companies Ordinance.

## Basis for opinion

We conducted our audit in accordance with Hong Kong Standards on Auditing ("HKSAs") issued by the HKICPA. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the consolidated financial statements* section of our report. We are independent of the group in accordance with the HKICPA's *Code of Ethics for Professional Accountants* ("the Code") and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

## Information other than the consolidated financial statements and auditor's report thereon

The directors are responsible for the other information. The other information comprises all the information included in the annual report, other than the consolidated financial statements and our auditor's report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

KPMG

# Independent auditor's report to the members of YF Life Insurance International Limited (continued)

*(Incorporated in Hong Kong with limited liability)*

## Responsibilities of the directors for the consolidated financial statements

The directors are responsible for the preparation of the consolidated financial statements that give a true and fair view in accordance with HKFRSs issued by the HKICPA and the Hong Kong Companies Ordinance and for such internal control as the directors determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the directors are responsible for assessing the group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group or to cease operations, or have no realistic alternative but to do so.

## Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. This report is made solely to you, as a body, in accordance with section 405 of the Hong Kong Companies Ordinance, and for no other purpose. We do not assume responsibility towards or accept liability to any other person for the contents of this report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with HKSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with HKSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances but not for the purpose of expressing an opinion on the effectiveness of the group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

KPMG

# Independent auditor's report to the members of YF Life Insurance International Limited (continued)

*(Incorporated in Hong Kong with limited liability)*

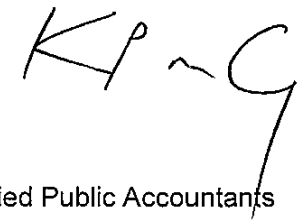
## Auditor's responsibilities for the audit of the consolidated financial statements (continued)

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Audit Committee regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



Certified Public Accountants

8th Floor, Prince's Building
10 Chater Road
Central, Hong Kong

28 March 2025

# Consolidated statement of profit or loss for the year ended 31 December 2024

*(Expressed in Hong Kong dollars)*

| | Note | 2024<br>$ | 2023<br>$ |
|---|---|---|---|
| Insurance revenue | 5 | 2,800,753,896 | 2,626,741,606 |
| Insurance service expenses | 9 | (2,108,240,998) | (2,054,007,656) |
| Net expenses from reinsurance contracts | 21(a) | (59,368,539) | (26,256,851) |
| **Insurance service result** | | 633,144,359 | 546,477,099 |
| Interest revenue calculated using the effective interest method | 6(b) | 2,998,877,032 | 2,682,574,527 |
| Other investment revenue | 6(c) | 827,701,502 | 617,991,198 |
| Net impairment loss on financial assets | 6(d) | (120,180,389) | (168,169,759) |
| **Investment return** | | 3,706,398,145 | 3,132,395,966 |
| Net finance expenses from insurance contracts | 6(a) | (3,097,871,554) | (2,293,667,116) |
| Net finance income from reinsurance contracts | 6(a) | 247,436,200 | 85,044,519 |
| Movement in investment contract liabilities | 6 | (203,145,285) | (207,907,143) |
| **Net financial result** | | 652,817,506 | 715,866,226 |
| Revenue from investment management services | 7 | 21,043,912 | 26,208,920 |
| Other income | 8 | 79,675,638 | 62,868,904 |
| Other operating expenses | 9 | (283,019,416) | (267,019,877) |
| Other finance costs | 9 | (5,697,503) | (6,405,564) |
| **Profit before tax** | | 1,097,964,496 | 1,077,995,708 |
| Income tax expense | 10 | (126,435,599) | (105,371,417) |
| **Profit for the year** | | 971,528,897 | 972,624,291 |
| **Profit for the year attributable to equity shareholders of the company** | | 971,528,897 | 972,624,291 |

The notes on pages 30 to 139 form part of these consolidated financial statements.

# Consolidated statement of profit or loss and other comprehensive income for the year ended 31 December 2024

*(Expressed in Hong Kong dollars)*

| | *Note* | *2024* $ | *2023* $ |
|---|---|---|---|
| **Profit for the year after taxation** | | 971,528,897 | 972,624,291 |
| **Other comprehensive income for the year** | | | |
| *Items that will not be reclassified to profit or loss* | | | |
| Equity investment at fair value through other comprehensive income - net movement in fair value reserve (non-recycling) | | - | 11,156,832 |
| Related income tax | 10(b) | - | (91,243) |
| | | - | 11,065,589 |
| *Items that are or may be reclassified subsequently to profit or loss* | | | |
| Net movement in the fair value reserve during the year recognised in other comprehensive income | 12 | (1,236,050,920) | 1,313,420,944 |
| Cash flow hedge: net movement in the hedging reserve | | (357,727,924) | 35,430,847 |
| Exchange differences arising on translation of results of foreign operations | | (72,865,661) | (43,838,369) |
| Net finance expenses from insurance contracts | 6(a) | (48,740,944) | (2,042,938,747) |
| Net finance income from reinsurance contracts | 6(a) | 180,381,305 | 111,234,849 |
| Net deferred tax impact recognised in other comprehensive income | 10(b) | 57,537,332 | 113,974,087 |
| | | (1,477,466,812) | (512,716,389) |
| **Total comprehensive income for the year** | | (505,937,915) | 470,973,491 |
| **Total comprehensive income for the year attributable to:** | | | |
| Equity shareholders of the company | | (505,937,915) | 470,973,491 |

The notes on pages 30 to 139 form part of these consolidated financial statements.

# Consolidated statement of financial position at 31 December 2024

*(Expressed in Hong Kong dollars)*

| | Note | *At 31 December 2024* $ | *At 31 December 2023* $ |
|---|---|---|---|
| **Assets** | | | |
| Fixed assets | 13 | 604,721,583 | 631,458,298 |
| Statutory deposits | 14 | 1,573,497 | 1,557,791 |
| Deferred tax assets | 25(b) | 98,767,135 | 73,934,786 |
| Intangible asset | 16 | 14,929,942 | 15,024,135 |
| Other contract asset | 17 | 456,663,099 | 455,953,163 |
| Investments | 18 | 77,693,511,365 | 73,372,475,269 |
| Reinsurance contract assets | 21 | 6,790,716,168 | 6,517,665,664 |
| Other receivables, deposits, and prepayment | 19 | 1,509,342,710 | 1,014,933,237 |
| Fixed bank deposits with original maturity over 3 months | 20 | 993,798,122 | 1,109,611,001 |
| Cash and cash equivalents | 20 | 3,899,941,867 | 3,200,075,740 |
| **Total assets** | | 92,063,965,488 | 86,392,689,084 |
| **Liabilities** | | | |
| Other liabilities | 24 | 635,524,262 | 606,532,335 |
| Financial liabilities at fair value through profit or loss | 18 | 425,782,027 | 240,989,212 |
| Tax payable | 25(a) | 33,071,287 | 67,544,835 |
| Insurance contract liabilities | 21 | 69,617,927,842 | 63,577,444,429 |
| Investment contract liabilities | 22 | 5,096,468,744 | 5,122,148,924 |
| Lease liabilities | 23 | 165,225,350 | 205,301,291 |
| Deferred tax liabilities | 25(b) | 252,066,546 | 228,890,713 |
| **Total liabilities** | | 76,226,066,058 | 70,048,851,739 |
| **Net assets** | | 15,837,899,430 | 16,343,837,345 |

# Consolidated statement of financial position at 31 December 2024 (continued)

*(Expressed in Hong Kong dollars)*

| | Note | *At 31 December 2024* $ | *At 31 December 2023* $ |
|---|---|---|---|
| **Equity** | | | |
| Share capital | 26(a) | 4,540,000,000 | 4,540,000,000 |
| Retained earnings | | 11,936,954,553 | 10,965,425,656 |
| Reserves | | (639,055,123) | 838,411,689 |
| **Total equity** | | 15,837,899,430 | 16,343,837,345 |

Approved and authorised for issue by the board of directors on 28 March 2025.

Huang Xin
Director

Man Ko Chan
Director

The notes on pages 30 to 139 form part of these consolidated financial statements.

# Consolidated statement of changes in equity for the year ended 31 December 2024

*(Expressed in Hong Kong dollars)*

| | *Share capital* $ | *Fair value reserve (recycling)* $ | *Fair value reserve (non-recycling)* $ | *Hedging reserve* $ | *Exchange reserve* $ | *Insurance finance reserve* $ | *Reinsurance finance reserve* $ | *Retained earnings* $ | *Total* $ |
|---|---|---|---|---|---|---|---|---|---|
| **Balance at 1 January 2023** | 4,540,000,000 | (4,650,382,448) | (31,853,078) | - | 69,755,365 | 5,840,403,602 | 91,351,559 | 10,013,588,854 | 15,872,863,854 |
| **Changes in equity for the year ended 31 December 2023:** | | | | | | | | | |
| Profit for the year | - | - | - | - | - | - | - | 972,624,291 | 972,624,291 |
| Other comprehensive income for the year | - | 1,411,050,074 | 11,065,589 | 35,430,847 | (41,681,891) | (2,017,667,265) | 100,151,846 | - | (501,650,800) |
| Transfer from fair value reserve (non-recycling) to retained earnings on disposal | - | - | 20,787,489 | - | - | - | - | (20,787,489) | - |
| **Balance at 31 December 2023 and 1 January 2024** | 4,540,000,000 | (3,239,332,374) | - | 35,430,847 | 28,073,474 | 3,822,736,337 | 191,503,405 | 10,965,425,656 | 16,343,837,345 |
| **Changes in equity for the year ended 31 December 2024:** | | | | | | | | | |
| Profit for the year | - | - | - | - | - | - | - | 971,528,897 | 971,528,897 |
| Other comprehensive income for the year | - | (1,184,578,551) | - | (357,727,924) | (82,164,029) | (19,488,884) | 166,492,576 | - | (1,477,466,812) |
| **Balance at 31 December 2024** | 4,540,000,000 | (4,423,910,925) | - | (322,297,077) | (54,090,555) | 3,803,247,453 | 357,995,981 | 11,936,954,553 | 15,837,899,430 |

The notes on pages 30 to 139 form part of these consolidated financial statements.

# Consolidated statement of cash flows for the year ended 31 December 2024

*(Expressed in Hong Kong dollars)*

| | *Note* | *2024* $ | *2023* $ |
|---|---|---|---|
| **Cash flows from operating activities** | | | |
| Profit before taxation | | 1,097,964,496 | 1,077,995,708 |
| Adjustments for: | | | |
| - Financial investments | | (6,499,277,386) | (6,369,542,646) |
| - Insurance and reinsurance contracts | | 6,317,129,623 | 6,431,301,833 |
| - Investment contracts | | (18,258,737) | (24,513,051) |
| - Statutory deposits | | (15,706) | (2,333) |
| - Other contract asset | | (3,597,301) | (4,056,329) |
| - Other receivable and payable | | (482,449,557) | (338,369,957) |
| - Depreciation | 13 | 191,181,134 | 178,050,640 |
| - Loss on disposal of fixed assets | | - | 2,762,567 |
| - Finance costs | 20(a) | 5,697,503 | 6,405,564 |
| - Interest credited to policyholders' account balances | 20(a) | 182,838,560 | 179,053,610 |
| - Other non-cash operating items, including investment income and the effect of exchange rate changes on certain operating items | | (118,330,597) | (93,698,204) |
| Operating cash items: | | | |
| - Interest received from bank deposits | | 129,766,422 | 86,761,856 |
| - Dividends received | | 295,757,521 | 252,223,755 |
| - Tax paid | | (105,028,331) | (46,023,616) |
| **Net cash from operating activities** | | 993,377,644 | 1,338,349,397 |

# Consolidated statement of cash flows for the year ended 31 December 2024 (continued)

*(Expressed in Hong Kong dollars)*

| | *Note* | *2024* $ | *2023* $ |
|---|---|---|---|
| **Cash flows from investing activities** | | | |
| Payment for purchase of fixed assets | | (89,997,407) | (48,370,649) |
| Fixed bank deposits with original maturity over 3 months | | 114,469,677 | 36,416,986 |
| Acquisition of intangible assets | 16 | - | (15,000,000) |
| **Net cash from/(used in) investing activities** | | 24,472,270 | (26,953,663) |
| **Cash flows from financing activities** | | | |
| Policyholders' account deposits related to investment contracts | 20(a) | 172,152,511 | 183,421,230 |
| Policyholders' account withdrawals related to investment contracts | 20(a) | (347,622,136) | (403,907,545) |
| Interest element of lease rentals paid | 20(a) | (5,697,503) | (6,405,564) |
| Capital element of lease rentals paid | 20(a) | (118,374,935) | (120,251,431) |
| **Net cash used in financing activities** | | (299,542,063) | (347,143,310) |
| **Net increase in cash and cash equivalents** | | 718,307,851 | 964,252,424 |
| **Cash and cash equivalents at 1 January** | 20 | 3,200,075,740 | 2,233,759,674 |
| Effect of foreign exchange rates changes | | (18,441,724) | 2,063,642 |
| **Cash and cash equivalents at 31 December** | 20 | 3,899,941,867 | 3,200,075,740 |

The notes on pages 30 to 139 form part of these consolidated financial statements.

# Notes to the financial statements
*(Expressed in Hong Kong dollars)*

## 1 Material accounting policies

### *(a) Statement of compliance*

These financial statements have been prepared in accordance with all applicable Hong Kong Financial Reporting Standards ("HKFRSs"), which collective term includes all applicable individual Hong Kong Financial Reporting Standards, Hong Kong Accounting Standards ("HKASs") and Interpretations issued by the Hong Kong Institute of Certified Public Accountants ("HKICPA"), accounting principles generally accepted in Hong Kong and the requirements of the Hong Kong Companies Ordinance. Material accounting policies adopted by the group are disclosed below.

The HKICPA has issued certain new and amended standards to HKFRSs that are first effective or available for early adoption for the current accounting period of the group and the company. Note 2 provides information on any changes in accounting policies resulting from initial application of these developments to the extent that they are relevant to the group for the current accounting period reflected in these financial statements.

### *(b) Basis of preparation of the financial statements*

The consolidated financial statements for the year ended 31 December 2024 comprise the company and its subsidiaries (together referred to as "the group").

The group's functional currency is United States dollar. The presentation currency of these financial statements is Hong Kong dollar, the official currency of the jurisdiction in which the group primarily operates.

The measurement basis used in the preparation of the financial statements is the historical cost basis except that investments in certain debt and equity securities and derivative financial instruments are stated at their fair value, and insurance and reinsurance contracts are measured at fulfilment cash flows, and if any, the contractual service margin ("CSM"), as explained in the accounting policies set out below or note 21(e).

The preparation of financial statements in conformity with HKFRSs requires management to make judgements, estimates and assumptions that affect the application of policies and reported amounts of assets, liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

Judgements made by management in the application of HKFRSs that have significant effect on the consolidated financial statements and estimates with a significant risk of material adjustment are discussed in note 4.

## 1 Material accounting policies (continued)

### *(c) Subsidiaries*

Subsidiaries are entities controlled by the group. The group controls an entity when it is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. When assessing whether the group has power, only substantive rights (held by the group and other parties) are considered.

An investment in a subsidiary is consolidated into the consolidated financial statements from the date that control commences until the date that control ceases. Intra-group balances, transactions and cash flows, any unrealised profits arising from intra-group transactions are eliminated in full in preparing the consolidated financial statements. Unrealised losses resulting from intra-group transactions are eliminated in the same way as unrealised gains but only to the extent that there is no evidence of impairment.

In the company's statement of financial position, an investment in a subsidiary is stated at cost less impairment losses (see note 1(o)(ii)).

### *(d) Insurance, reinsurance and investment contracts - Classification*

Contracts under which the group accepts significant insurance risk are classified as insurance contracts. Contracts held by the group under which it transfers significant insurance risk related to underlying insurance contracts are classified as reinsurance contracts. Insurance and reinsurance contracts also expose the group to financial risk.

The group does not accept insurance risk from other insurers.

Insurance contracts may be issued and reinsurance contracts may be initiated by the group, or they may be acquired in a business combination or in a transfer of contracts that do not form a business. All references in these accounting policies to 'insurance contracts' and 'reinsurance contracts' include contracts issued, initiated or acquired by the group, unless otherwise stated.

Some contracts entered into by the group have the legal form of insurance contracts but do not transfer significant insurance risk. These contracts are classified as financial liabilities and are referred to as 'investment contracts' (see note 1(f)).

Insurance contracts are classified as direct participating contracts or contracts without direct participation features. Direct participating contracts are contracts for which, at inception:

- the contractual terms specify that the policyholder participates in a share of a clearly identified pool of underlying items;
- the group expects to pay to the policyholder an amount equal to a substantial share of the fair value returns on the underlying items; and
- the group expects a substantial proportion of any change in the amounts to be paid to the policyholder to vary with the change in fair value of the underlying items.

All other insurance contracts and all reinsurance contracts are classified as contracts without direct participation features.

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts*

(i) Separating components from insurance and reinsurance contracts

At inception, the group separates the following components from an insurance or reinsurance contract and accounts for them as if they were stand-alone financial instruments.

- derivatives embedded in the contract whose economic characteristics and risks are not closely related to those of the host contract, and whose terms would not meet the definition of an insurance or reinsurance contract as a stand-alone instrument; and

- distinct investment components: i.e. investment components that are not highly inter-related with the insurance components and for which contracts with equivalent terms are sold, or could be sold, separately in the same market or the same jurisdiction.

After separating any financial instrument components, the group separates any promises to transfer to policyholders distinct goods or services other than insurance coverage and investment services and accounts for them as separate contracts with customers (i.e. not as insurance contracts). A good or service is distinct if the policyholder can benefit from it either on its own or with other resources that are readily available to the policyholder. A good or service is not distinct and is accounted for together with the insurance component if the cash flows and risks associated with the good or service are highly inter-related with the cash flows and risks associated with the insurance component, and the group provides a significant service of integrating the good or service with the insurance component.

(ii) Aggregation and recognition of insurance and reinsurance contracts

**Insurance contracts**

Insurance contracts are aggregated into groups for measurement purposes. Groups of insurance contracts are determined by identifying portfolios of insurance contracts, each comprising contracts subject to similar risks and managed together, and dividing each portfolio into semi-annual cohorts and each semi-annual cohort into three groups based on the profitability of contracts:

- any contracts that are onerous on initial recognition;

- any contracts that, on initial recognition, have no significant possibility of becoming onerous subsequently; and

- any remaining contracts in the semi-annual cohort.

An insurance contract issued by the group is recognised from the earliest of:

- the beginning of its coverage period (i.e. the period during which the group provides services in respect of any premiums within the boundary of the contract);

- when the first payment from the policyholder becomes due or, if there is no contractual due date, when it is received from the policyholder; and

- when facts and circumstances indicate that the contract is onerous.

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(ii) Aggregation and recognition of insurance and reinsurance contracts (continued)

An insurance contract acquired in a transfer of contracts or a business combination is recognised on the date of acquisition.

When the contract is recognised, it is added to an existing group of contracts or, if the contract does not qualify for inclusion in an existing group, it forms a new group to which future contracts are added. Groups of contracts are established on initial recognition and their composition is not revised once all contracts have been added to the group.

**Reinsurance contracts**

Groups of reinsurance contracts are established such that each group comprises a single contract.

A group of reinsurance contracts is recognised on the following date.

- *Reinsurance contracts initiated by the group that provide proportionate coverage*: The date on which any underlying insurance contract is initially recognised. This applies to the group's quota share reinsurance contracts.

- *Other reinsurance contracts initiated by the group*: The beginning of the coverage period of the group of reinsurance contracts. However, if the group recognises an onerous group of underlying insurance contracts on an earlier date and the related reinsurance contract was entered into before that earlier date, then the group of reinsurance contracts is recognised on that earlier date (see 'Reinsurance of onerous underlying insurance contracts' under (v)).

- *Reinsurance contracts acquired*: The date of acquisition.

(iii) Insurance acquisition cash flows

Insurance acquisition cash flows are allocated to groups of insurance contracts using a systematic and rational method and considering, in an unbiased way, all reasonable and supportable information that is available without undue cost or effort.

If insurance acquisition cash flows are directly attributable to a group of contracts, then they are allocated to that group and to the groups that will include renewals of those contracts. The allocation to renewals only applies to certain term assurance and critical illness contracts that are renewable and coverage period for each term is more than one year. The group expects to recover part of the related insurance acquisition cash flows through renewals of these contracts. The allocation to renewals is based on the manner in which the group expects to recover those cash flows.

If insurance acquisition cash flows are directly attributable to a portfolio but not to a group of contracts, then they are allocated to groups in the portfolio using a systematic and rational method.

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(iii) Insurance acquisition cash flows (continued)

Insurance acquisition cash flows arising before the recognition of the related group of contracts are recognised as an asset. Insurance acquisition cash flows arise when they are paid or when a liability is required to be recognised under a standard other than HKFRS 17. Such an asset is recognised for each group of contracts to which the insurance acquisition cash flows are allocated. The asset is derecognised, fully or partially, when the insurance acquisition cash flows are included in the measurement of the group of contracts.

When the group acquires insurance contracts in a transfer of contracts or a business combination, at the date of acquisition it recognises an asset for insurance acquisition cash flows at fair value for the rights to obtain:

- renewals of contracts recognised at the date of acquisition; and
- other future contracts after the date of acquisition without paying again insurance acquisition cash flows that the acquiree has already paid.

At each reporting date, the group revises the amounts allocated to groups to reflect any changes in assumptions that determine the inputs to the allocation method used. Amounts allocated to a group are not revised once all contracts have been added to the group.

**Recoverability assessment**

At each reporting date, if facts and circumstances indicate that an asset for insurance acquisition cash flows may be impaired, then the group:

a. recognises an impairment loss in profit or loss so that the carrying amount of the asset does not exceed the expected net cash inflow for the related group; and

b. if the asset relates to future renewals, recognises an impairment loss in profit or loss to the extent that it expects those insurance acquisition cash flows to exceed the net cash inflow for the expected renewals and this excess has not already been recognised as an impairment loss under (a).

The group reverses any impairment losses in profit or loss and increases the carrying amount of the asset to the extent that the impairment conditions have improved.

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(iv) Contract boundaries

The measurement of a group of contracts includes all of the future cash flows within the boundary of each contract in the group, determined as follows:

**Insurance contracts**

Cash flows are within the contract boundary if they arise from substantive rights and obligations that exist during the reporting period in which the group can compel the policyholder to pay premiums or has a substantive obligation to provide services (including insurance coverage and any investment services).

A substantive obligation to provide services ends when:

- the group has the practical ability to reassess the risks of the particular policyholder and can set a price or level of benefits that fully reflects those reassessed risks; or
- the group has the practical ability to reassess the risks of the portfolio that contains the contract and can set a price or level of benefits that fully reflects the risks of that portfolio, and the pricing of the premiums up to the reassessment date does not take into account risks that relate to periods after the reassessment date.

The reassessment of risks considers only risks transferred from policyholders to the group, which may include both insurance and financial risks, but exclude lapse and expense risks.

**Reinsurance contracts**

Cash flows are within the contract boundary if they arise from substantive rights and obligations that exist during the reporting period in which the group is compelled to pay amounts to the reinsurer or has a substantive right to receive services from the reinsurer.

A substantive right to receive services from the reinsurer ends when the reinsurer:

- has the practical ability to reassess the risks transferred to it and can set a price or level of benefits that fully reflects those reassessed risks; or
- has a substantive right to terminate the coverage.

The contract boundary is reassessed at each reporting date to include the effect of changes in circumstances on the group's substantive rights and obligations and, therefore, may change over time.

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(v) Measurement - Contracts not measured under the premium allocation approach ("PAA")

**Insurance contracts - Initial measurement**

On initial recognition, the group measures a group of insurance contracts as the total of (a) the fulfilment cash flows, which comprise estimates of future cash flows, adjusted to reflect the time value of money and the associated financial risks, and a risk adjustment for non-financial risk; and (b) the CSM. The fulfilment cash flows of a group of insurance contracts do not reflect the group's non-performance risk.

The risk adjustment for non-financial risk for a group of insurance contracts, determined separately from the other estimates, is the compensation required for bearing uncertainty about the amount and timing of the cash flows that arises from non-financial risk.

The CSM of a group of insurance contracts represents the unearned profit that the group will recognise as it provides services under those contracts. On initial recognition of a group of insurance contracts, if the total of (a) the fulfilment cash flows, (b) any cash flows arising at that date and (c) any amount arising from the derecognition of any assets or liabilities previously recognised for cash flows related to the group (including assets for insurance acquisition cash flows under note 1(e)(iii)) is a net inflow, then the group is not onerous. In this case, the CSM is measured as the equal and opposite amount of the net inflow, which results in no income or expenses arising on initial recognition.

If the total is a net outflow, then the group is onerous. In this case, the net outflow is recognised as a loss in profit or loss. A loss component is created to depict the amount of the net cash outflow, which determines the amounts that are subsequently presented in profit or loss as reversals of losses on onerous contracts and are excluded from insurance revenue.

**Insurance contracts - Subsequent measurement**

The carrying amount of a group of insurance contracts at each reporting date is the sum of the liability for remaining coverage and the liability for incurred claims. The liability for remaining coverage comprises (a) the fulfilment cash flows that relate to services that will be provided under the contracts in future periods and (b) any remaining CSM at that date. The liability for incurred claims includes the fulfilment cash flows for incurred claims and expenses that have not yet been paid, including claims that have been incurred but not yet reported.

The fulfilment cash flows of groups of insurance contracts are measured at the reporting date using current estimates of future cash flows, current discount rates and current estimates of the risk adjustment for non-financial risk. Changes in fulfilment cash flows are recognised as follows.

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(v) Measurement - Contracts not measured under the premium allocation approach ("PAA") (continued)

| | |
|---|---|
| **Changes relating to future services** | Adjusted against the CSM (or recognised in the insurance service result in profit or loss if the group is onerous) |
| **Changes relating to current or past services** | Recognised in the insurance service result in profit or loss |
| **Effects of the time value of money, financial risk and changes therein on estimated future cash flows** | Recognised as insurance finance income or expenses |

The CSM of each group of contracts is calculated at each reporting date as follows.

*Insurance contracts without direct participation features*

The carrying amount of the CSM at each reporting date is the carrying amount at the start of the period, adjusted for:

- the CSM of any new contracts that are added to the group in the period;
- interest accreted on the carrying amount of the CSM during the period, measured at the discount rates on nominal cash flows that do not vary based on the returns on any underlying items determined on initial recognition;
- changes in fulfilment cash flows that relate to future services, except to the extent that:
  - any increases in the fulfilment cash flows exceed the carrying amount of the CSM, in which case the excess is recognised as a loss in profit or loss and creates a loss component; or
  - any decreases in the fulfilment cash flows are allocated to the loss component, reversing losses previously recognised in profit or loss;
- the effect of any currency exchange differences on the CSM; and
- the amount recognised as insurance revenue because of the services provided in the period.

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(v) Measurement - Contracts not measured under the premium allocation approach ("PAA") (continued)

Changes in fulfilment cash flows that relate to future services comprise:

- experience adjustments arising from premiums received in the period that relate to future services and related cash flows, measured at the discount rates determined on initial recognition;
- changes in estimates of the present value of future cash flows in the liability for remaining coverage, measured at the discount rates determined on initial recognition, except for those that arise from the effects of the time value of money, financial risk and changes therein;
- differences between (a) any investment component expected to become payable in the year, determined as the payment expected at the start of the period plus any insurance finance income or expenses related to that expected payment before it becomes payable; and (b) the actual amount that becomes payable in the period;
- differences between any loan to a policyholder expected to become repayable in the period and the actual amount that becomes repayable in the period; and
- changes in the risk adjustment for non-financial risk that relate to future services.

Changes in discretionary cash flows are regarded as relating to future services and accordingly adjust the CSM.

*Direct participating contracts*

Direct participating contracts are contracts under which the group's obligation to the policyholder is the net of:

- the obligation to pay the policyholder an amount equal to the fair value of the underlying items; and
- a variable fee in exchange for future services provided by the contracts, being the amount of the group's share of the fair value of the underlying items less fulfilment cash flows that do not vary based on the returns on underlying items. The group provides investment services under these contracts by promising an investment return based on underlying items, in addition to insurance coverage.

When measuring a group of direct participating contracts, the group adjusts the fulfilment cash flows for the whole of the changes in the obligation to pay policyholders an amount equal to the fair value of the underlying items. These changes do not relate to future services and are recognised in profit or loss. The group then adjusts any CSM for changes in the amount of the group's share of the fair value of the underlying items, which relate to future services, as explained below.

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(v) Measurement - Contracts not measured under the premium allocation approach ("PAA") (continued)

The carrying amount of the CSM at each reporting date is the carrying amount at the start of the period, adjusted for:

- the CSM of any new contracts that are added to the group in the period;
- the change in the amount of the group's share of the fair value of the underlying items and changes in fulfilment cash flows that relate to future services, except to the extent that:
  - the group has applied the risk mitigation option to exclude from the CSM changes in the effect of financial risk on the amount of its share of the underlying items or fulfilment cash flows;
  - a decrease in the amount of the group's share of the fair value of the underlying items, or an increase in the fulfilment cash flows that relate to future services, exceeds the carrying amount of the CSM, giving rise to a loss in profit or loss (included in insurance service expenses) and creating a loss component; or
  - an increase in the amount of the group's share of the fair value of the underlying items, or a decrease in the fulfilment cash flows that relate to future services, is allocated to the loss component, reversing losses previously recognised in profit or loss (included in insurance service expenses);
- the effect of any currency exchange differences on the CSM; and
- the amount recognised as insurance revenue because of the services provided in the period.

Changes in fulfilment cash flows that relate to future services include the changes relating to future services specified above for contracts without direct participation features (measured at current discount rates) and changes in the effect of the time value of money and financial risks that do not arise from underlying items - e.g. the effect of financial guarantees.

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(v) Measurement - Contracts not measured under the premium allocation approach ("PAA") (continued)

***Reinsurance contracts***

To measure a group of reinsurance contracts, the group applies the same accounting policies as are applied to insurance contracts without direct participation features, with the following modifications.

The carrying amount of a group of reinsurance contracts at each reporting date is the sum of the asset for remaining coverage and the asset for incurred claims. The asset for remaining coverage comprises (a) the fulfilment cash flows that relate to services that will be received under the contracts in future periods and (b) any remaining CSM at that date.

The group measures the estimates of the present value of future cash flows using assumptions that are consistent with those used to measure the estimates of the present value of future cash flows for the underlying insurance contracts, with an adjustment for any risk of non-performance by the reinsurer. The effect of the non-performance risk of the reinsurer is assessed at each reporting date and the effect of changes in the non-performance risk is recognised in profit or loss.

The risk adjustment for non-financial risk is the amount of risk being transferred by the group to the reinsurer.

On initial recognition, the CSM of a group of reinsurance contracts represents a net cost or net gain on purchasing reinsurance. It is measured as the equal and opposite amount of the total of (a) the fulfilment cash flows, (b) any amount arising from the derecognition of any assets or liabilities previously recognised for cash flows related to the group, (c) any cash flows arising at that date and (d) any income recognised in profit or loss because of onerous underlying contracts recognised at that date (see 'Reinsurance of onerous underlying insurance contracts' below). However, if any net cost on purchasing reinsurance coverage relates to insured events that occurred before the purchase of the group, then the group recognises the cost immediately in profit or loss as an expense.

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(v) Measurement - Contracts not measured under the premium allocation approach ("PAA") (continued)

The carrying amount of the CSM at each reporting date is the carrying amount at the start of the period, adjusted for:

- the CSM of any new contracts that are added to the group in the period;
- interest accreted on the carrying amount of the CSM during the period, measured at the discount rates on nominal cash flows that do not vary based on the returns on any underlying items determined on initial recognition;
- income recognised in profit or loss in the year on initial recognition of onerous underlying contracts (see below);
- reversals of a loss-recovery component (see 'Net expenses from reinsurance contracts' under (viii)) to the extent that they are not changes in the fulfilment cash flows of the group of reinsurance contracts;
- changes in fulfilment cash flows that relate to future services, measured at the discount rates determined on initial recognition, unless they result from changes in fulfilment cash flows of onerous underlying contracts, in which case they are recognised in profit or loss and create or adjust a loss-recovery component;
- the effect of any currency exchange differences on the CSM; and
- the amount recognised in profit or loss because of the services received in the period.

*Reinsurance of onerous underlying insurance contracts*

The group adjusts the CSM of the group to which a reinsurance contract belongs and as a result recognises income when it recognises a loss on initial recognition of onerous underlying contracts, if the reinsurance contract is entered into before or at the same time as the onerous underlying contracts are recognised. The adjustment to the CSM is determined by multiplying:

- the amount of the loss that relates to the underlying contracts; and
- the percentage of claims on the underlying contracts that the group expects to recover from the reinsurance contracts.

A loss-recovery component is created or adjusted for the group of reinsurance contracts to depict the adjustment to the CSM, which determines the amounts that are subsequently presented in profit or loss as reversals of recoveries of losses from the reinsurance contracts and are excluded from the allocation of reinsurance premiums paid (see 'Net expenses from reinsurance contracts' under note 1(e)(viii)).

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(vi) Measurement - Contracts measured under the PAA

The group uses the PAA to simplify the measurement of groups of contracts when the coverage period of each contract in the group is one year or less for insurance and reinsurance contracts.

**Insurance contracts**

On initial recognition of each group of contracts, the carrying amount of the liability for remaining coverage is measured at the premiums received on initial recognition minus any insurance acquisition cash flows allocated to the group at that date. The group has chosen to recognise any insurance acquisition cash flows as expenses when it incurs those costs, provided that the coverage period of each contract in the group at initial recognition is no more than one year.

Subsequently, the carrying amount of the liability for remaining coverage is increased by any premiums received, and decreased by the amount recognised as insurance revenue for services provided (see note 1(e)(viii)). On initial recognition of each group of contracts, the group expects that the time between providing each part of the services and the related premium due date is no more than a year. Accordingly, the group has chosen not to adjust the liability for remaining coverage to reflect the time value of money and the effect of financial risk.

If at any time during the coverage period, facts and circumstances indicate that a group of contracts is onerous, then the group recognises a loss in profit or loss and increases the liability for remaining coverage to the extent that the current estimates of the fulfilment cash flows that relate to remaining coverage exceed the carrying amount of the liability for remaining coverage. The fulfilment cash flows are discounted (at current rates) if the liability for incurred claims is also discounted (see below).

The group recognises the liability for incurred claims of a group of insurance contracts at the amount of the fulfilment cash flows relating to incurred claims. The future cash flows are discounted (at current rates) unless they are expected to be paid in one year or less from the date the claims are incurred.

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(vi) Measurement - Contracts measured under the PAA (continued)

**Reinsurance contracts**

The group applies the same accounting policies to measure a group of reinsurance contracts, adapted where necessary to reflect features that differ from those of insurance contracts.

If a loss-recovery component (see 'Reinsurance of onerous underlying insurance contracts' under note 1(e)(v)) is created for a group of reinsurance contracts measured under the PAA, then the group adjusts the carrying amount of the asset for remaining coverage instead of adjusting the CSM.

(vii) Derecognition and contract modification

The group derecognises a contract when it is extinguished - i.e. when the specified obligations in the contract expire or are discharged or cancelled.

The group also derecognises a contract if its terms are modified in a way that would have changed the accounting for the contract significantly had the new terms always existed, in which case a new contract based on the modified terms is recognised. If a contract modification does not result in derecognition, then the group treats the changes in cash flows caused by the modification as changes in estimates of fulfilment cash flows.

On derecognition of a contract from within a group of contracts not measured under the PAA:

- the fulfilment cash flows allocated to the group are adjusted to eliminate those that relate to the rights and obligations derecognised;
- the CSM of the group is adjusted for the change in the fulfilment cash flows, except where such changes are allocated to a loss component; and
- the number of coverage units for the expected remaining services is adjusted to reflect the coverage units derecognised from the group (see note 1(e)(viii)).

If a contract is derecognised because it is transferred to a third party, then the CSM is also adjusted for the premium charged by the third party, unless the group is onerous.

If a contract is derecognised because its terms are modified, then the CSM is also adjusted for the premium that would have been charged had the group entered into a contract with the new contract's terms at the date of modification, less any additional premium charged for the modification. The new contract recognised is measured assuming that, at the date of modification, the group received the premium that it would have charged less any additional premium charged for the modification.

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(viii) Presentation

Portfolios of insurance contracts that are assets and those that are liabilities, and portfolios of reinsurance contracts that are assets and those that are liabilities, are presented separately in the consolidated statement of financial position. Any assets or liabilities recognised for cash flows arising before the recognition of the related group of contracts (including any assets for insurance acquisition cash flows under (iii)) are included in the carrying amount of the related portfolios of contracts.

The group disaggregates amounts recognised in the consolidated statement of profit or loss and other comprehensive income into (a) an insurance service result, comprising insurance revenue and insurance service expenses; and (b) insurance finance income or expenses.

Income and expenses from reinsurance contracts are presented separately from income and expenses from insurance contracts. Income and expenses from reinsurance contracts, other than insurance finance income or expenses, are presented on a net basis as 'net expenses from reinsurance contracts' in the insurance service result.

The group does not disaggregate changes in the risk adjustment for non-financial risk between the insurance service result and insurance finance income or expenses. All changes in the risk adjustment for non-financial risk are included in the insurance service result.

Insurance revenue and insurance service expenses exclude any investment components and are recognised as follows.

**Insurance revenue - Contracts not measured under the PAA**

The group recognises insurance revenue as it satisfies its performance obligations - i.e. as it provides services under groups of insurance contracts. For contracts not measured under the PAA, the insurance revenue relating to services provided for each period represents the total of the changes in the liability for remaining coverage that relate to services for which the group expects to receive consideration, and comprises the following items.

- A release of the CSM, measured based on coverage units provided (see 'Release of the CSM' below).
- Changes in the risk adjustment for non-financial risk relating to current services.
- Claims and other insurance service expenses incurred in the period, generally measured at the amounts expected at the beginning of the period. This includes amounts arising from the derecognition of any assets for cash flows other than insurance acquisition cash flows at the date of initial recognition of a group of contracts, which are recognised as insurance revenue and insurance service expenses at that date.
- Other amounts, including experience adjustments for premium receipts for current or past services.

In addition, the group allocates a portion of premiums that relate to recovering insurance acquisition cash flows to each period in a systematic way based on coverage units. The group recognises the allocated amount, as insurance revenue and an equal amount as insurance service expenses.

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(viii) Presentation (continued)

*Release of the CSM*

The amount of the CSM of a group of insurance contracts that is recognised as insurance revenue in each period is determined by identifying the coverage units in the group, allocating the CSM remaining at the end of the period (before any allocation) equally to each coverage unit provided in the period and expected to be provided in future periods, and recognising in profit or loss the amount of the CSM allocated to coverage units provided in the period. The number of coverage units is the quantity of services provided by the contracts in the group, determined by considering for each contract the quantity of benefits provided and its expected coverage period. The coverage units are reviewed and updated at each reporting date.

Services provided by insurance contracts include insurance coverage and, for all direct participating contracts, investment services for managing underlying items on behalf of policyholders. Other contracts may also provide investment services for generating an investment return for the policyholder, but only if:

- an investment component exists or the policyholder has a right to withdraw an amount (e.g. the policyholder's right to receive a surrender value on cancellation of a contract);
- the investment component or withdrawal amount is expected to include an investment return; and
- the group expects to perform investment activities to generate that investment return.

The expected coverage period reflects expectations of lapses and cancellations of contracts, as well as the likelihood of insured events occurring to the extent that they would affect the expected coverage period. The period of investment services ends no later than the date on which all amounts due to current policyholders relating to those services have been paid.

**Insurance revenue - Contracts measured under the PAA**

For contracts measured under the PAA, the insurance revenue for each period is the amount of expected premium receipts for providing services in the period. The group allocates the expected premium receipts to each period based on the passage of time.

**Loss components**

For contracts not measured under the PAA, the group establishes a loss component of the liability for remaining coverage for onerous groups of insurance contracts. The loss component determines the amounts of fulfilment cash flows that are subsequently presented in profit or loss as reversals of losses on onerous contracts and are excluded from insurance revenue when they occur. When the fulfilment cash flows are incurred, they are allocated between the loss component and the liability for remaining coverage excluding the loss component on a systematic basis.

The systematic allocation follows the approach of CSM amortisation, (i.e. mirroring approach), where the loss component is released based on coverage unit.

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(viii) Presentation (continued)

Changes in fulfilment cash flows relating to future services and changes in the amount of the group's share of the fair value of the underlying items for direct participating contracts are allocated solely to the loss component. If the loss component is reduced to zero, then any excess over the amount allocated to the loss component creates a new CSM for the group of contracts.

**Insurance service expenses**

Insurance service expenses arising from insurance contracts are recognised in profit or loss generally as they are incurred. They exclude repayments of investment components and comprise the following items.

- Incurred claims and other insurance service expenses.
- Amortisation of insurance acquisition cash flows: For contracts not measured under the PAA, this is equal to the amount of insurance revenue recognised in the period that relates to recovering insurance acquisition cash flows. For contracts measured under the PAA, the group recognises any insurance acquisition cash flows as expenses when it incurs those costs.
- Losses on onerous contracts and reversals of such losses.
- Adjustments to the liabilities for incurred claims that do not arise from the effects of the time value of money, financial risk and changes therein.
- Impairment losses on assets for insurance acquisition cash flows and reversals of such impairment losses.

**Net expenses from reinsurance contracts**

Net expenses from reinsurance contracts comprise an allocation of reinsurance premiums paid less amounts recovered from reinsurers.

The group recognises an allocation of reinsurance premiums paid in profit or loss as it receives services under groups of reinsurance contracts. For contracts not measured under the PAA, the allocation of reinsurance premiums paid relating to services received for each period represents the total of the changes in the asset for remaining coverage that relate to services for which the group expects to pay consideration.

For contracts measured under the PAA, the allocation of reinsurance premiums paid for each period is the amount of expected premium payments for receiving services in the period.

For a group of reinsurance contracts covering onerous underlying contracts, the group establishes a loss-recovery component of the asset for remaining coverage to depict the recovery of losses recognised:

- on recognition of onerous underlying contracts, if the reinsurance contract covering those contracts is entered into before or at the same time as those contracts are recognised; and

## 1 Material accounting policies (continued)

### *(e) Insurance and reinsurance contracts (continued)*

(viii) Presentation (continued)

- for changes in fulfilment cash flows of the group of reinsurance contracts relating to future services that result from changes in fulfilment cash flows of the onerous underlying contracts.

The loss-recovery component determines the amounts that are subsequently presented in profit or loss as reversals of recoveries of losses from the reinsurance contracts and are excluded from the allocation of reinsurance premiums paid. It is adjusted to reflect changes in the loss component of the onerous group of underlying contracts, but it cannot exceed the portion of the loss component of the onerous group of underlying contracts that the group expects to recover from the reinsurance contracts.

**Insurance finance income and expenses**

Insurance finance income and expenses comprise changes in the carrying amounts of groups of insurance and reinsurance contracts arising from the effects of the time value of money, financial risk and changes therein, unless any such changes for groups of direct participating contracts are allocated to a loss component and included in insurance service expenses (see 'Measurement - Contracts not measured under the PAA' under note 1(e)(v)). They include changes in the measurement of groups of contracts caused by changes in the value of underlying items (excluding additions and withdrawals).

For contracts without direct participation features that are not measured under PAA, the group has chosen to disaggregate insurance finance income or expenses between profit or loss and other comprehensive income. The amount included in profit or loss is determined by a systematic allocation of the expected total insurance finance income or expenses over the duration of the group of contracts. The systematic allocation is determined using the following rates:

- the discount rates determined on initial recognition of the group of contracts; or

- for insurance finance income or expenses arising from the estimates of future cash flows, a rate that allocates the remaining revised expected finance income or expenses over the remaining duration of the group of contracts at a constant rate (i.e. the effective yield or based on the amounts credited in the period and expected to be credited in future periods (i.e. the projected crediting rate)); and for insurance finance income or expenses arising from the CSM, the discount rates determined on initial recognition of the group of contracts.

Amounts presented in other comprehensive income are accumulated in the insurance finance reserve. If the group derecognises a contract without direct participation features as a result of a transfer to a third party or a contract modification, then any remaining amounts of accumulated other comprehensive income for the contract are reclassified to profit or loss as a reclassification adjustment.

For direct participating contracts, the group presents insurance finance income or expenses in profit or loss.

## 1 Material accounting policies (continued)

### *(i) Cash flow hedges*

When a derivative is designated as a cash flow hedging instrument, the effective portion of

[redacted]

## 1 Material accounting policies (continued)

### *(k) Financial liabilities at fair value through profit or loss (continued)*

A financial liability, other than a financial liability held for trading or contingent consideration may be paid by an acquirer as part of a business combination, may be designated as at FVPL upon initial recognition if:

- such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- the financial liability forms part of a group of financial assets or financial liabilities or both, which is managed and its performance is evaluated on a fair value basis, in accordance with the group's documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- it forms part of a contract containing one or more embedded derivatives, and HKFRS 9 permits the entire combined contract (asset or liability) to be designated as at FVPL.

Financial liabilities at FVPL are measured at fair value, with any gains or losses arising on remeasurement recognised in profit or loss. The net gain or loss recognised in profit or loss excludes any interest paid on the financial liabilities. Fair value is determined in the manner described in note 3(c).

### *(l) Fixed assets*

Fixed assets, including right-of-use assets arising from leases of underlying fixed assets (see note 1(m)), are stated in the statement of financial position at cost less accumulated depreciation and impairment losses (see note 1(o)(ii)).

Depreciation is calculated to write off the cost of fixed assets, less their estimated residual value, if any, using the straight line method over their estimated useful lives as follows:

| | |
|---|---|
| - Leasehold improvements | Shorter of lease term and useful lives |
| - Office furniture and equipment | 5 years |
| - Computer equipment | 3 to 20 years |
| - Motor vehicle | 3 years |

Both the useful life of an asset and its residual value, if any, are reviewed annually.

Gains or losses arising from the retirement or disposal of an item of fixed assets are determined as the difference between the net disposal proceeds and the carrying amount of the item and are recognised in profit or loss on the date of retirement or disposal.

## 1 Material accounting policies (continued)

### *(o) Credit losses and impairment of assets (continued)*

(ii) Impairment of other non-current assets (continued)

- Reversals of impairment losses

  In respect of assets other than goodwill, an impairment loss is reversed if there has been a favourable change in the estimates used to determine the recoverable amount. An impairment loss in respect of goodwill is not reversed.

A reversal of an impairment loss is limited to the asset's carrying amount that would have been determined had no impairment loss been recognised in prior years. Reversals of impairment losses are credited to profit or loss in the year in which the reversals are recognised.

### *(p) Cash and cash equivalents*

Cash and cash equivalents comprise cash at bank and on hand, demand deposits with banks and other financial institutions, and short-term, highly liquid investments that are readily convertible into known amounts of cash and which are subject to an insignificant risk of changes in value, having been within three months of maturity at acquisition. Bank overdrafts that are repayable on demand and form an integral part of the group's cash management are also included as a component of cash and cash equivalents for the purpose of the consolidated statement of cash flows.

### *(q) Employee benefits*

Salaries, annual bonuses, paid annual leave, contributions to defined contribution retirement plans and the cost of non-monetary benefits are accrued in the year in which the associated services are rendered by employees. Where payment or settlement is deferred and the effect would be material, these amounts are stated at their present values.

## 1 Material accounting policies (continued)

### *(r) Income tax*

Income tax for the year comprises current tax and movements in deferred tax assets and liabilities. Current tax and movements in deferred tax assets and liabilities are recognised in profit or loss except to the extent that they relate to items recognised in other comprehensive income or directly in equity, in which case they are recognised in other comprehensive income or directly in equity, respectively.

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the end of the reporting period, and any adjustment to tax payable in respect of previous years.

Deferred tax assets and liabilities arise from deductible and taxable temporary differences respectively, being the differences between the carrying amounts of assets and liabilities for financial reporting purposes and their tax bases. Deferred tax assets also arise from unused tax losses and unused tax credits.

Apart from certain limited exceptions, all deferred tax liabilities, and all deferred tax assets to the extent that it is probable that future taxable profits will be available against which the asset can be utilised, are recognised. Future taxable profits that may support the recognition of deferred tax assets arising from deductible temporary differences include those that will arise from the reversal of existing taxable temporary differences, provided those differences relate to the same taxation authority and the same taxable entity, and are expected to reverse either in the same period as the expected reversal of the deductible temporary difference or in periods into which a tax loss arising from the deferred tax asset can be carried back or forward. The same criteria are adopted when determining whether existing taxable temporary differences support the recognition of deferred tax assets arising from unused tax losses and credits, that is, those differences are taken into account if they relate to the same taxation authority and the same taxable entity, and are expected to reverse in a period, or periods, in which the tax loss or credit can be utilised.

The amount of deferred tax recognised is measured based on the expected manner of realisation or settlement of the carrying amount of the assets and liabilities, using tax rates enacted or substantively enacted at the end of the reporting period. Deferred tax assets and liabilities are not discounted.

### *(s) Revenue recognition*

Income is classified by the group as revenue when it arises from the sale of goods or the provision of services in the ordinary course of the group's business.

Further details of the group's revenue and other income recognition policies are as follows:

(i) The accounting policies for the recognition of revenue from insurance contracts are disclosed in note 1(e).

(ii) Dividend income from unlisted investments is recognised when the shareholder's right to receive payment is established. Dividend income from listed investments is recognised when the share price of the investment goes ex-dividend.

## 3 Insurance and financial risk management (continued)

### *(b) Financial risks (continued)*

(iii) Interest rate risk (continued)

(2) Sensitivity analysis

[redacted]

[redacted]

## 3 Insurance and financial risk management (continued)

### *(c) Fair value measurement (continued)*

(i) Financial assets and liabilities measured at fair value (continued)

approach or the income approach. The use of quoted prices for identical assets and matrix pricing or other similar techniques are examples of market approaches, while the use of discounted cash flow methodologies is an example of the income approach. The group

*nment corporations and agencies* -
et approach. Level 2 valuations are

*U.S. Treasury securities and obligations of U.S. gover*
These securities are principally valued using the mark

ased primarily on matrix pricing or other similar techniques using standard market
bservable inputs including benchmark U.S. Treasury or other yields, issuer ratings, broker-

ba
ob

significant inputs that are unobservable or cannot be derived principally from, or corroborated by, observable market data or from inputs including quoted prices for identical or similar securities that are less liquid and based on lower levels of trading activity than securities classified in Level 2 are classified as Level 3.

[redacted]

## 3 Insurance and financial risk management (continued)

### *(c) Fair value measurement (continued)*

(i) Financial assets and liabilities measured at fair value (continued)

*Corporate securities* - These securities are principally valued using the market or the income approaches. Level 2 valuations are based primarily on quoted prices in markets that are not active, broker quotes or using matrix pricing or other similar techniques that use standard

[redacted]

[redacted]

Level 2.

[redacted]

## 3 Insurance and financial risk management (continued)

### *(e) Claims development*

The uncertainties about the amount and timing of claims payment are typically resolved within one year.

### *(f) Cash flow hedge*

As at 31 December 2024 and 2023, the group uses bond forward contract to provide cash flow hedge in order to protect from interest rate volatility and re-investment risk.

The hedge effectiveness is demonstrated by the contractual term in physical delivery of bond.

The potential sources of ineffectiveness are as below:

- Change in the delivery date for the hedged items;
- Change in cash level of the portfolio (below the notional amount of the contract) due to mis-payment of coupon or/and principal payment or significant below premium inflow from sales;
- Significant change in credit risk of the counterparty to the forward contract.

The group assesses the hedge effectiveness at the inception of the hedge, at each reporting date and upon a significant change in the circumstances affecting the hedge effectiveness requirements.

As at 31 December 2024, bond forward contracts with nominal amount of $5,356,863,300 (2023: $2,812,518,000) have maturity of less than 5 years from the reporting date.

## 4 Critical accounting judgements and key sources of estimation uncertainty

### *(a) Actuarial assumptions on liabilities for remaining coverage of insurance and reinsurance contract*

The process used to determine the assumptions is intended to result in estimates of the most likely outcome with reasonable provisions for possible adverse deviations.

The assumptions that are considered include the expected number and timing of deaths, surrenders, discount rates, renewal expenses and inflation over the period of exposure. Note 21(e) provides detailed information about the actuarial assumptions on liabilities for remaining coverage of insurance and reinsurance contract liabilities.

## 4 Critical accounting judgements and key sources of estimation uncertainty (continued)

### *(b) Classification and fair value of derivatives and financial instruments*

Under HKFRS 9, classification of financial instruments depends on the contractual cash flow characteristics (the SPPI criteria) and driven by the business model of the entity. A financial asset that does not meet the SPPI criterion is always measured at FVPL, unless it is an equity instrument for which an entity applies the election to measure at FVOCI. Management judgement is involved throughout the assessment.

The group selects appropriate valuation techniques for financial instruments which are classified as level 2 and 3 investments in accordance with the group's significant accounting policies. Note 3(c) provides detailed information about the key assumptions used in the determination of the fair value of material financial instruments. Note 3(d) provides detailed information about the key assumptions used in the determination of the expected credit loss of financial instruments classified under amortised cost and for debt instruments carried at FVOCI.

## 5 Insurance revenue

| | *2024* $ | *2023* $ |
|---|---|---|
| **Contracts not measured under PAA** | | |
| Amounts relating to changes in liabilities for remaining coverage | | |
| - CSM recognised for services provided (note 21(a)) | 692,647,253 | 713,494,404 |
| - Change in risk adjustment for non-financial risk for risk expired | (32,769,586) | (23,262,704) |
| - Expected incurred claims and other insurance service expenses | 976,597,333 | 874,072,397 |
| Recovery of insurance acquisition cash flows | 806,430,352 | 719,583,386 |
| | 2,442,905,352 | 2,283,887,483 |
| **Contracts measured under PAA** | 357,848,544 | 342,854,123 |
| **Total insurance revenue (note 21(a))** | 2,800,753,896 | 2,626,741,606 |

## 6 Net financial result (continued)

### *(c) Other investment revenue*

| | *2024* $ | *2023* $ |
|---|---|---|
| *Underlying items* | | |
| **Net gains of financial instruments designated at fair value through profit or loss** | | |
| Net (losses)/gains of debt securities | (135,744,330) | 23,205,596 |
| **Net gains/(losses) of financial instruments mandatorily measured at fair value through profit or loss** | | |
| Net gains of debt securities | 123,943,902 | 1,727,632 |
| Net gains of equity securities, fund investments and unit trusts | 457,259,722 | 301,822,596 |

[redacted]

## 6 Net financial result (continued)

### (c) *Other investment revenue (continued)*

| | 2024<br>$ | 2023<br>$ |
|---|---|---|
| *Not underlying items* | | |
| **At AC/FVOCI** | | |
| Net realised losses on disposal of FVOCI debt securities | (6,433,268) | (41,803,952) |
| Net realised gains/(losses) on disposal of debt securities at amortised cost | 2,047,522 | (16,318,752) |
| Net realised losses on loans and receivables | (32,288,133) | (28,404) |
| | (36,673,879) | (58,151,108) |
| **At fair value through profit or loss** | | |
| **Net gains/(losses) of financial instruments mandatorily measured at fair value through profit or loss** | | |
| Net gains of debt securities | 82,048,406 | 20,410,475 |
| Net losses of equity securities, fund investment and others, unit trusts | (3,214,037) | (36,334,628) |
| Net fair value movement on derivatives | (111,574,599) | (42,044,168) |
| Net losses in respect of financial instruments measured at fair value through profit or loss | (32,740,230) | (57,968,321) |
| Interest income for financial instruments mandatorily measured at fair value through profit or loss | 71,729,832 | 110,283,184 |
| Dividend income from equity instruments measured at: | | |
| - fair value through other comprehensive income | - | 88,455 |
| - fair value through profit or loss | 148,126,985 | 134,673,770 |
| Others | - | 32,642,307 |
| | 150,442,708 | 161,568,287 |
| **Total other investment revenue** | 827,701,502 | 617,991,198 |

Included in the other investment revenue, there were disposals and derecognition of debt securities at amortised costs resulted from investment risk management, rebalancing of investment portfolio and repayment from debt securities upon maturity.

## 6 Net financial result (continued)

### *(d) Net impairment loss on financial assets*

| | *2024* $ | *2023* $ |
|---|---|---|
| *Not underlying items* | | |
| Impairment loss of amortised cost debt securities | (129,456,552) | (67,406,926) |
| Impairment loss of fair value through other comprehensive income debt securities | 9,276,163 | (100,762,833) |
| **Total net impairment loss on financial assets** | (120,180,389) | (168,169,759) |

## 7 Revenue from investment management services

| | *2024* $ | *2023* $ |
|---|---|---|
| Management fee for investment contracts (note 22) | 21,043,912 | 26,208,920 |

The amount represents fees deducted from account balances of investment contracts, most of it is non-refundable up-front fees which is recognised as profit through unearned revenue

| | |
|---|---|
| 79,675,638 | 62,868,904 |

## 9 Expenses

| | *Note* | *2024* $ | *2023* $ |
|---|---|---|---|
| Claims and benefits | | 879,218,306 | 926,495,557 |
| Fees and commissions | | 1,740,316,202 | 2,461,819,352 |
| Losses and reversal of losses on onerous insurance contracts | 21(a) | 14,044,676 | (50,016,701) |
| Staff costs | | | |
| - Salaries, wages and other benefits | | 436,933,879 | 403,594,219 |
| - Contributions to defined contribution retirement plans | | 26,177,588 | 22,867,355 |
| Auditors' remuneration | | 9,540,000 | 16,564,000 |
| Legal and professional costs | | (2,398,701) | 4,590,896 |
| Depreciation and amortisation on property and equipment and other intangible assets | 13 | 191,181,134 | 178,050,640 |
| Information, data and communication expenses | | 6,790,303 | 6,221,828 |
| Net exchange loss | | 44,370,797 | 11,560,783 |
| Movement in other contract assets | | (3,597,301) | (4,056,329) |
| Operating lease charges in respect of properties | 13(a) | - | 11,922,770 |
| Finance cost - interest on lease liabilities | 13(a) | 5,697,503 | 6,405,564 |
| Others | | 332,239,745 | 399,414,308 |
| Amounts attributed to insurance acquisition cash flows incurred during the year | 21(b) | (2,152,613,071) | (2,878,973,606) |
| Amortisation of insurance acquisition cash flows | 21(a) | 869,056,857 | 810,972,461 |
| | | 2,396,957,917 | 2,327,433,097 |

**Represented by:**

| | | |
|---|---|---|
| Insurance service expenses | 2,108,240,998 | 2,054,007,656 |
| Other operating expenses | 283,019,416 | 267,019,877 |
| Other finance costs | 5,697,503 | 6,405,564 |
| | 2,396,957,917 | 2,327,433,097 |

## 10 Income tax in the consolidated statement of profit or loss and other comprehensive income

### *(a) Taxation in the consolidated statement of profit or loss represents:*

| | *2024* $ | *2023* $ |
|---|---|---|
| **Current tax - Hong Kong Profits Tax** | | |
| Provision for the year | 68,773,524 | 58,543,005 |
| Over-provision in respect of prior years | (129,926) | (217,425) |
| | 68,643,598 | 58,325,580 |
| **Current tax - Macau Complementary Tax** | | |
| Provision for the year | 7,838,115 | 54,928,178 |
| Over-provision in respect of prior years | (5,926,930) | (2,139,323) |
| | 1,911,185 | 52,788,855 |
| **Deferred tax** | | |
| Origination and reversal of temporary differences | 55,880,816 | (5,743,018) |
| | 126,435,599 | 105,371,417 |

The provision for Hong Kong Profits Tax for 2024 is calculated at 16.5% (2023: 16.5%) of the estimated assessable profits for the year, except for one subsidiary of the group which is a qualifying corporation under the two-tiered Profits Tax rate regime.

The provision for Macau Complementary Tax is calculated at tax rate of 12.0% (2023: 12.0%) of the estimated assessable profits for the year.

For this subsidiary, the first $2,000,000 of assessable profits are taxed at 8.25% and the remaining assessable profits are taxed at 16.5%. The provision for Hong Kong Profits Tax for this subsidiary was calculated at the same basis in 2023.

## 10 Income tax in the consolidated statement of profit or loss and other comprehensive income (continued)

### *(b) Taxation in the consolidated statement of other comprehensive income represents:*

| | *2024* $ | *2023* $ |
|---|---|---|
| **Items that will not be reclassified to profit or loss** | | |
| Equity investment at fair value through other comprehensive income - net movement in fair value reserve (non-recycling) | - | (91,243) |
| **Items that are or maybe reclassified subsequently to profit or loss** | | |
| Net movement in the fair value reserve during the year recognised in other comprehensive income | 51,472,369 | 97,629,130 |
| Exchange differences arising on translation of results of foreign operations | (9,298,368) | 2,156,478 |
| Net finance income from insurance contracts | 29,252,060 | 25,271,482 |
| Net finance income from reinsurance contracts | (13,888,729) | (11,083,003) |
| | 57,537,332 | 113,974,087 |
| | 57,537,332 | 113,882,844 |

## 10 Income tax in the consolidated statement of profit or loss and other comprehensive income (continued)

### *(c) Reconciliation between tax expense and accounting profit at applicable tax rates:*

| | *2024* $ | *2023* $ |
|---|---|---|
| Profit before taxation | 1,097,964,496 | 1,077,995,708 |
| Notional tax on profit before taxation, calculated at the rates applicable to profits in the jurisdictions concerned | 159,661,375 | 130,481,994 |
| Tax effect of surplus transferred from Hong Kong long term individual life business | (84,443,218) | (28,086,837) |
| Notional tax on net premiums written in respect of Hong Kong long term individual life business | 61,468,742 | 57,721,341 |
| Difference in tax in foreign jurisdiction | 6,448,126 | (46,502,074) |
| Tax effect of non-taxable revenue | (14,511,977) | (170,395) |
| Tax adjustment in respect of prior years | (6,056,856) | (2,356,748) |
| Tax effect of non-deductible expenses | 1,576 | 1,574 |
| Tax effect of unused tax losses not recognised | 23,081 | 25,580 |
| Others | 3,844,750 | (5,743,018) |
| Actual tax expense | 126,435,599 | 105,371,417 |

### *(d) Pillar Two income taxes*

In 2021, the Organisation for Economic Co-operation and Development published the Global Anti-Base Erosion Model Rules ("Pillar Two model rules") for a new global minimum tax reform applicable to large multinational enterprises. On 27 December 2024, the Hong Kong SAR Government amended the Inland Revenue Ordinance to introduce a domestic minimum top-up tax which will take effect from the year ending 31 December 2025. The group is in progress of assessing the impact to the group's consolidated financial statements.

The group has applied the temporary mandatory exception to recognising and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes and accounted for the tax as current tax when incurred.

## 11 Directors' emoluments

Directors' emoluments disclosed pursuant to section 383(1) of the Hong Kong Companies Ordinance and Part 2 of the Companies (Disclosure of Information about Benefits of Directors) Regulation are as follows:

| | *2024* $ | *2023* $ |
|---|---|---|
| Directors' fees | 756,000 | 892,161 |
| Salaries, bonus, allowances and benefits in kind | 3,646,440 | 4,007,877 |
| Discretionary bonuses | 1,823,220 | 3,456,264 |
| Retirement scheme contribution | 364,644 | 400,788 |
| | 6,590,304 | 8,757,090 |

## 12 Other comprehensive income

***Reclassification adjustments relating to components of other comprehensive income***

| | *2024* $ | *2023* $ |
|---|---|---|
| **Debt securities classified as fair value through other comprehensive income:** | | |
| Changes in fair value recognised during the year | (1,233,208,022) | 1,170,854,159 |
| **Reclassification adjustments for amounts transferred to profit or loss:** | | |
| Net losses on disposal | 6,433,265 | 41,803,952 |
| Impairment losses | (9,276,163) | 100,762,833 |
| **Net movement in the fair value reserve during the year recognised in other comprehensive income** | (1,236,050,920) | 1,313,420,944 |

# 13 Fixed assets

| | *Leasehold improvements* $ | *Motor vehicle* $ | *Office furniture* $ | *Office equipment* $ | *Computer equipment - hardware* $ | *Computer equipment - software* $ | *Properties leased for own use* $ | *Total* $ |
|---|---|---|---|---|---|---|---|---|
| **Cost:** | | | | | | | | |
| At 1 January 2024 | 103,694,705 | 2,817,673 | 14,822,371 | 31,643,118 | 57,292,951 | 506,524,313 | 385,895,477 | 1,102,690,608 |
| Additions | 27,668,709 | - | 3,024,092 | 4,038,893 | 7,322,447 | 51,397,758 | 74,844,502 | 168,296,401 |
| Disposals/derecognition | - | - | - | (17,121,771) | (1,408,004) | - | (90,257,086) | (108,786,861) |
| Exchange alignment | (779,331) | (17,665) | (107,051) | (137,280) | (386,816) | (3,415,657) | (2,347,349) | (7,191,149) |
| At 31 December 2024 | 130,584,083 | 2,800,008 | 17,739,412 | 18,422,960 | 62,820,578 | 554,506,414 | 368,135,544 | 1,155,008,999 |
| **Accumulated depreciation:** | | | | | | | | |
| At 1 January 2024 | 80,104,234 | 885,488 | 8,343,612 | 23,395,207 | 41,158,564 | 120,526,285 | 196,818,920 | 471,232,310 |
| Charge for the year | 27,900,575 | 937,716 | 3,003,713 | 3,734,008 | 8,400,404 | 36,195,020 | 111,009,698 | 191,181,134 |
| Written back on disposals/derecognition | - | - | - | (17,121,771) | (1,408,004) | - | (90,257,086) | (108,786,861) |
| Exchange alignment | (632,516) | (9,932) | (66,338) | (84,146) | (290,698) | (924,676) | (1,330,861) | (3,339,167) |
| At 31 December 2024 | 107,372,293 | 1,813,272 | 11,280,987 | 9,923,298 | 47,860,266 | 155,796,629 | 216,240,671 | 550,287,416 |
| **Net book value:** | | | | | | | | |
| At 31 December 2024 | 23,211,790 | 986,736 | 6,458,425 | 8,499,662 | 14,960,312 | 398,709,785 | 151,894,873 | 604,721,583 |

| | *Leasehold improvements* $ | *Motor vehicle* $ | *Office furniture* $ | *Office equipment* $ | *Computer equipment - hardware* $ | *Computer equipment - software* $ | *Properties leased for own use* $ | *Total* $ |
|---|---|---|---|---|---|---|---|---|
| **Cost:** | | | | | | | | |
| At 1 January 2023 | 104,319,915 | - | 15,126,224 | 31,426,914 | 51,911,965 | 478,398,755 | 321,684,626 | 1,002,868,399 |
| Additions | 7,212,862 | 2,813,147 | 1,118,220 | 3,032,149 | 7,665,965 | 28,681,658 | 105,449,823 | 155,974,024 |
| Disposals/derecognition | (7,864,938) | - | (1,425,625) | (2,824,689) | (2,307,491) | (729,290) | (41,428,062) | (56,580,095) |
| Exchange alignment | 26,866 | 4,526 | 3,552 | 8,744 | 22,512 | 172,990 | 189,090 | 428,280 |
| At 31 December 2023 | 103,694,705 | 2,817,673 | 14,822,371 | 31,643,118 | 57,292,951 | 506,524,313 | 385,895,477 | 1,102,690,608 |
| **Accumulated depreciation:** | | | | | | | | |
| At 1 January 2023 | 64,992,340 | - | 7,090,442 | 20,247,536 | 35,281,678 | 90,076,043 | 129,018,496 | 346,706,535 |
| Charge for the year | 22,935,195 | 884,065 | 2,674,888 | 5,961,893 | 8,165,510 | 31,106,553 | 106,322,536 | 178,050,640 |
| Written back on disposals/derecognition | (7,864,938) | - | (1,425,625) | (2,824,689) | (2,307,491) | (729,290) | (38,665,495) | (53,817,528) |
| Exchange alignment | 41,637 | 1,423 | 3,907 | 10,467 | 18,867 | 72,979 | 143,383 | 292,663 |
| At 31 December 2023 | 80,104,234 | 885,488 | 8,343,612 | 23,395,207 | 41,158,564 | 120,526,285 | 196,818,920 | 471,232,310 |
| **Net book value:** | | | | | | | | |
| At 31 December 2023 | 23,590,471 | 1,932,185 | 6,478,759 | 8,247,911 | 16,134,387 | 385,998,028 | 189,076,557 | 631,458,298 |

## 13 Fixed assets (continued)

### *(a) Right-of-use assets*

The analysis of the net book value of right-of-use assets by class of underlying asset is as follows:

| | *31 December 2024* $ | *31 December 2023* $ |
|---|---|---|
| Properties leased for own use, carried at depreciated cost | 151,894,873 | 189,076,556 |
| Computer equipment - hardware, carried at depreciated cost | 840,524 | 2,875,811 |
| Office equipment, carried at depreciated cost | 4,788,466 | 2,990,401 |
| | 157,523,863 | 194,942,768 |

The analysis of expense items in relation to leases recognised in profit or loss is as follows:

| | *2024* $ | *2023* $ |
|---|---|---|
| Depreciation charge of right-of-use assets by class of underlying asset: | | |
| Properties leased for own use | 111,009,698 | 106,322,536 |
| Computer equipment - hardware | 2,026,723 | 2,026,723 |
| Office equipment | 1,629,154 | 3,977,888 |
| | 114,665,575 | 112,327,147 |

## 13 Fixed assets (continued)

### (a) *Right-of-use assets (continued)*

| | 2024<br>$ | 2023<br>$ |
|---|---|---|
| Interest on lease liabilities (note 9) | 5,697,503 | 6,405,564 |
| Expense relating to short-term leases and other leases (note 9) | - | 11,922,770 |

During the year, additions to right-of-use assets of the group were $78,298,994 (2023: $107,603,375) which is primarily related to the capitalised lease payments payable under new tenancy agreements and equipment lease agreements.

Details of total cash outflow for leases, the maturity analysis of lease liabilities and the future cash outflows arising from leases that are not yet commenced are set out in notes 20(b) and 23 respectively.

## 14 Statutory deposits

| | 2024<br>$ | 2023<br>$ |
|---|---|---|
| Statutory deposits | 1,573,497 | 1,557,791 |

The group has deposited in the name of the Director of Accounting Services with a bank a sum of $1,573,497 (2023: $1,557,791) pursuant to section 77(2)(e) of the Hong Kong Trustee Ordinance.

All of the statutory deposits are expected to be recovered after more than one year.

## 15 Investments in subsidiaries

The following shows the carrying amount of investment in subsidiaries on the company level statement of financial position.

| | 2024<br>$ | 2023<br>$ |
|---|---|---|
| Unlisted shares, at cost | 172,019,062 | 172,019,062 |
| Less: Impairment losses | (12,079,989) | (12,079,989) |
| | 159,939,073 | 159,939,073 |

During the financial year, the company assessed the impairment of investments in subsidiaries. As a result of this, an accumulated impairment loss of $12,079,989 (2023: $12,079,989) was provided.

## 15 Investments in subsidiaries (continued)

The following list contains the details of the company's subsidiaries as at which principally affected the results, assets or liabilities of the group. The class of shares held is ordinary unless otherwise stated.

| *Name of company* | *Place of incorporation and operation* | *Particulars of issued and paid up capital* | *Proportion of ownership interest held by the company* | *Principal activities* |
|---|---|---|---|---|
| Protective Capital (International) Limited | Hong Kong | 78,610,000 shares | 100% | Provision of general services |
| YF Life Services Limited | Hong Kong | 2 shares | 100% | Provision of general services |
| YF Life Guardian Limited | Hong Kong | 2 shares | 100% | Provision of general services |
| YF Life Trustees Limited | Hong Kong | 73,000,000 shares | 100% | Provision of trustee services |
| YF Life Consultants Limited | Hong Kong | 50,000 shares | 100% | Provision of general services |
| YF Life Investors Limited | Hong Kong | 5,000,000 shares | 100% | Provision of general services |

## 16 Intangible asset

| | *Club membership* $ |
|---|---|
| At 1 January 2023 | - |
| Additions | 15,000,000 |
| Exchange alignment | 24,135 |
| At 31 December 2023 and 1 January 2024 | 15,024,135 |
| Additions | - |
| Exchange alignment | (94,193) |
| At 31 December 2024 | 14,929,942 |

The group has one (2023: one) club membership with indefinite useful life.

## 17 Other contract asset

| | *2024* $ | *2023* $ |
|---|---|---|
| At 1 January | 455,953,163 | 451,762,026 |
| Amounts deferred | 15,462,763 | 16,750,955 |
| Amortisation and other movements | (11,865,462) | (12,694,626) |
| Exchange alignment | (2,887,365) | 134,808 |
| At 31 December | 456,663,099 | 455,953,163 |

## 18 Investments and derivatives

| | Note | Underlying items | | | Others | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | | Participating | Unit-linked | | | | | | | |
| | | FVPL | FVPL | Sub-total | AC | FVOCI | FVPL | FV - hedging instrument | Sub-total | Total |
| | | $ | $ | $ | $ | $ | $ | $ | $ | $ |
| **At 31 December 2024** | | | | | | | | | | |
| **Financial investments** | | | | | | | | | | |
| Debt securities | (b) | 4,054,931,971 | - | 4,054,931,971 | 30,848,986,684 | 24,168,520,190 | 2,079,504,452 | - | 57,097,011,326 | 61,151,943,297 |
| Loans and receivables | | - | - | - | 4,286,560,984 | - | - | - | 4,286,560,984 | 4,286,560,984 |
| Unit trusts | (d) | 2,917,418,458 | 5,663,016,930 | 8,580,435,388 | - | - | 604,343,464 | - | 604,343,464 | 9,184,778,852 |
| Unlisted equity and other securities | (d) | 591,030,993 | - | 591,030,993 | - | - | 2,348,957,646 | - | 2,348,957,646 | 2,939,988,639 |
| | | 7,563,381,422 | 5,663,016,930 | 13,226,398,352 | 35,135,547,668 | 24,168,520,190 | 5,032,805,562 | - | 64,336,873,420 | 77,563,271,772 |
| Derivative assets | (a) | 1,507,947 | - | 1,507,947 | - | - | 128,731,646 | - | 128,731,646 | 130,239,593 |
| | | 7,564,889,369 | 5,663,016,930 | 13,227,906,299 | 35,135,547,668 | 24,168,520,190 | 5,161,537,208 | - | 64,465,605,066 | 77,693,511,365 |
| Derivative liabilities | (a) | 3,265,292 | - | 3,265,292 | - | - | 101,724,950 | 320,791,785 | 422,516,735 | 425,782,027 |

## 18 Investments and derivatives (continued)

| | Note | Underlying items | | | Others | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | | Participating | Unit-linked | | | | | | | |
| | | FVPL | FVPL | Sub-total | AC | FVOCI | FVPL | FV - hedging instrument | Sub-total | Total |
| | | $ | $ | $ | $ | $ | $ | $ | $ | $ |
| **At 31 December 2023** | | | | | | | | | | |
| **Financial investments** | | | | | | | | | | |
| Debt securities | (b) | 1,079,027,677 | - | 1,079,027,677 | 28,050,912,549 | 25,758,601,227 | 2,132,261,046 | - | 55,941,774,822 | 57,020,802,499 |
| Loans and receivables | | - | - | - | 4,994,892,151 | - | - | - | 4,994,892,151 | 4,994,892,151 |
| Unit trusts | (d) | 1,785,997,951 | 5,747,602,809 | 7,533,600,760 | - | - | 1,053,762,478 | - | 1,053,762,478 | 8,587,363,238 |
| Unlisted equity and other securities | (d) | 290,602,063 | - | 290,602,063 | - | - | 2,258,141,809 | - | 2,258,141,809 | 2,548,743,872 |
| | | 3,155,627,691 | 5,747,602,809 | 8,903,230,500 | 33,045,804,700 | 25,758,601,227 | 5,444,165,333 | - | 64,248,571,260 | 73,151,801,760 |
| Derivative assets | (a) | 284,699 | - | 284,699 | - | - | 149,632,526 | 70,756,284 | 220,388,810 | 220,673,509 |
| | | 3,155,912,390 | 5,747,602,809 | 8,903,515,199 | 33,045,804,700 | 25,758,601,227 | 5,593,797,859 | 70,756,284 | 64,468,960,070 | 73,372,475,269 |
| Derivative liabilities | (a) | - | - | - | - | - | 205,720,782 | 35,268,430 | 240,989,212 | 240,989,212 |

Certain fund and other investments of $20,188,873,617 (2023: $18,717,825,101) have been pledged in favour of Autoridade Monetaria de Macau to guarantee the technical reserves in accordance with the Macau Insurance Ordinance.

## 18 Investments and derivatives (continued)

### a. *Derivatives*

The group uses derivatives to provide economic hedges as part of its assets and liabilities management activities. The following table analyses the group's derivatives by type of instrument.

| | 2024 | | 2023 | |
|---|---|---|---|---|
| | *Assets* $ | *Liabilities* $ | *Assets* $ | *Liabilities* $ |
| **Underlying items** | | | | |
| **Not designated as hedging instruments** | | | | |
| Forward contracts | 1,507,947 | - | 284,699 | - |
| **Other** | | | | |
| **Designated as hedging instruments** | | | | |
| Bond forward contracts | - | 320,791,785 | 70,756,284 | 35,268,430 |
| **Not designated as hedging instruments** | | | | |
| Currency swaps | 121,965,947 | 18,352,571 | 147,924,824 | 15,416,397 |
| Forward contracts | 6,765,699 | 3,039,549 | 1,707,702 | 6,178,206 |
| Collateral | - | 83,598,122 | - | 184,126,179 |
| | 128,731,646 | 425,782,027 | 220,388,810 | 240,989,212 |
| | 130,239,593 | 425,782,027 | 220,673,509 | 240,989,212 |

For more information about how the group manages its market risks, see Note 3(d).

### b. *Financial assets designated as at FVPL*

Certain debt investments have been designated as at FVPL (see Note 1(g)). At 31 December 2024, the maximum exposure to credit risk of these financial assets was their carrying amount of $3,386,044,372 (2023: $295,980,478), the majority of which is arising from the financial assets rated as investment grade. The credit risk of these financial assets has not been hedged by the use of credit derivatives or similar instruments.

### c. *Equity investments designated as at FVOCI*

The group has designated equity investments as at FVOCI because it intends to hold them for the long term in order to match with the long duration of insurance contracts measured under the general measurement model ("GMM"). Dividend income of $Nil was received on these investments during the year (2023: $88,455).

## 18 Investments and derivatives (continued)

### *c. Equity investments designated as at FVOCI (continued)*

| | *Fair value at 31 December* | | *Dividend income recognised* | |
|---|---|---|---|---|
| | 2024 | 2023 | 2024 | 2023 |
| | $ | $ | $ | $ |
| Equity securities: | | | | |
| - Listed in Hong Kong | - | - | - | 88,455 |

During the year ended 31 December 2024, no equity investments designated at FVOCI were disposed (2023: several US and Hong Kong equity investments designated at FVOCI were considered to be no longer aligned with the investment strategy since purchase and were disposed at $79,360,378 with realised loss of $20,787,490).

### *d. Interests in collective investment schemes*

(i) Included in financial assets designated at fair value through profit or loss on the consolidated statement of financial position are certain investments in collective investment schemes which have been designed so that voting or similar rights are not the dominant factor in deciding who controls these schemes. These collective investment schemes include investments in unit trusts and limited liability partnerships established by third parties. These schemes provide the group with a variety of investment opportunities through managed investment strategies.

Owing to the passive nature of these investments, the maximum exposure to loss from these interests is limited to the associated equity price risk (see note 3) and the capital commitments. The maximum exposure to loss, which represents the maximum loss that the group could be required to report as a result of its involvement with these collective investment schemes regardless of the probability of the loss being incurred, is equivalent to the carrying amount of these investments (see note 3).

(ii) In addition, the group's subsidiary, YF Life Trustees Limited is the sponsor of Mass Mandatory Provident Fund scheme ('MPF scheme') as specified in the respective trust deeds. Management fee and trustee fee income that the group recognised in profit or loss in return for the administration services provided to MPF Scheme that the group sponsored amounted to $30,335,886 (2023: $40,282,117) for the year.

The policyholders invest directly into such MPF scheme, as such, the group did not transfer any of its own assets into these schemes during the reporting period. Management actively monitor the compliance with the respective regulation requirements in order to minimise losses arising from reputational risk and regulatory compliance risk.

## 19 Other receivables, deposits and prepayment

| | *Note* | *2024* $ | *2023* $ |
|---|---|---|---|
| Amount due from the ultimate holding company | (i) | 66,439,789 | 66,439,789 |
| Utility and rental deposits | (ii) | 40,583,368 | 40,584,692 |
| Loans to agents and staff | (iii) | 68,571,673 | 68,757,837 |
| Accrued investment income | (iv) | 1,071,081,792 | 723,507,187 |
| Others | (iv) | 262,666,088 | 115,643,732 |
| | | 1,509,342,710 | 1,014,933,237 |

(i) The amounts due from the ultimate holding company are unsecured, interest free and have no fixed terms of repayment.

(ii) The amount of utility and rental deposits expected to be recovered after more than one year is $39,923,829 (2023: $36,810,724).

(iii) Included in loans to agents and staff are loans to key management personnel of $Nil (2023: $Nil).

(iv) Except for those mentioned above, all of the other receivables are expected to be recovered within one year.

## 20 Deposits with banks maturing after more than three months and cash and cash equivalents

| | *2024* $ | *2023* $ |
|---|---|---|
| Deposits with banks maturing after more than three months | 993,798,122 | 1,109,611,001 |
| Deposits with banks and short term investments maturing no more than three months | 1,072,880,575 | 1,939,984,344 |
| Cash at bank and in hand | 2,827,061,292 | 1,260,091,396 |
| Cash and cash equivalents in the consolidated cash flow statement | 3,899,941,867 | 3,200,075,740 |
| | 4,893,739,989 | 4,309,686,741 |

The group has pledged fixed deposits of $965,904,406 (2023: $907,291,000) to banks in favour of the Autoridade Monetaria de Macau to guarantee the technical reserves in accordance with the Macau Insurance Ordinance.

## 20 Deposits with banks maturing after more than three months and cash and cash equivalents (continued)

### *(a) Reconciliation to liabilities arising from financing activities for disclosure purpose*

The table below details changes in the group's liabilities from financing activities including both cash and non-cash changes. Liabilities arising from financing activities are liabilities for which cash flows were, or future cash flows will be, classified in the group's consolidated statement of cash flows as cash flows from financing activities.

| | *Lease liabilities* $ | *Policyholders' deposits and other liabilities* $ |
|---|---|---|
| **At 1 January 2023** | 217,949,347 | 4,793,877,544 |
| **Changes from financing cash flows:** | | |
| Policyholders' account deposits | - | 183,421,230 |
| Policyholders' account withdrawals | - | (403,907,545) |
| Capital element of lease rentals paid | (120,251,431) | - |
| Interest element of lease rentals paid | (6,405,564) | - |
| Total changes from financing cash flows | (126,656,995) | (220,486,315) |
| **Other changes** | | |
| Interest credited to policyholders' account balances (note 22) | - | 179,053,610 |
| Administrative fees | - | (32,570,725) |
| Other reserve changes | - | (19,312,118) |
| Other income | | 10,869,431 |
| Interest expense | 6,405,564 | - |
| Increase in lease liabilities from entering into new lease during the period | 107,603,375 | - |
| Exchange alignment | - | (416,647) |
| Total other changes | 114,008,939 | 137,623,551 |
| **At 31 December 2023** | 205,301,291 | 4,711,014,780 |

## 20 Deposits with banks maturing after more than three months and cash and cash equivalents (continued)

### *(a) Reconciliation to liabilities arising from financing activities for disclosure purpose (continued)*

| | *Lease liabilities* $ | *Policyholders' deposits and other liabilities* $ |
|---|---|---|
| **At 1 January 2024** | 205,301,291 | 4,711,014,780 |
| **Changes from financing cash flows:** | | |
| Policyholders' account deposits | - | 172,152,511 |
| Policyholders' account withdrawals | - | (347,622,136) |
| Capital element of lease rentals paid | (118,374,935) | - |
| Interest element of lease rentals paid | (5,697,503) | - |
| Total changes from financing cash flows | (124,072,438) | (175,469,625) |
| **Other changes** | | |
| Interest credited to policyholders' account balances (note 22) | - | 182,838,560 |
| Administrative fees | - | (27,746,865) |
| Other reserve changes | - | (9,541,909) |
| Other income | - | 7,373,503 |
| Interest expense | 5,697,503 | - |
| Increase in lease liabilities from entering into new lease during the period | 78,298,994 | - |
| Exchange alignment | - | (3,923,082) |
| Total other changes | 83,996,497 | 149,000,207 |
| **At 31 December 2024** | 165,225,350 | 4,684,545,362 |

### *(b) Total cash outflow for leases*

Amounts included in the consolidated cash flow statement for leases comprise the following:

| | *2024* $ | *2023* $ |
|---|---|---|
| Within operating cash flows | - | 11,922,770 |
| Within financing cash flows | 124,072,438 | 126,656,995 |
| | 124,072,438 | 138,579,765 |

## 21 Insurance and reinsurance contracts

| | *Note* | *2024* $ | *2023* $ |
|---|---|---|---|
| **Insurance contracts** | | | |
| Insurance contract liabilities | | | |
| - Insurance contract balances | 21(a)(i) | 69,620,983,524 | 63,579,853,198 |
| - Assets for insurance acquisition cash flows | 21(b) | (3,055,682) | (2,408,769) |
| | | 69,617,927,842 | 63,577,444,429 |
| **Reinsurance contracts** | | | |
| Reinsurance contract assets | 21(a)(ii) | (6,790,716,168) | (6,517,665,664) |

### *(a) Movements in insurance and reinsurance contract balances*

The following reconciliations show how the net carrying amounts of insurance contracts and reinsurance contracts held changed during the year as a result of cash flows and amounts recognised in the consolidated statement of profit or loss and other comprehensive income. The group presents a table separately analysing movements in the liabilities for remaining coverage and movements in the liabilities for incurred claims and reconciles these movements to the line items in the consolidated statement of profit or loss and other comprehensive income. A second reconciliation is presented for contracts not measured under the premium allocation approach, which separately analyses changes in the estimates of the present value of future cash flows, the risk adjustment for non-financial risk and the contractual service margin.

The estimates of the present value of future cash flows from insurance and reinsurance contract assets represent the group's maximum exposure to credit risk from these assets.

# 21 Insurance and reinsurance contracts (continued)

## (a) *Movements in insurance and reinsurance contract balances (continued)*

### (i) *Insurance contracts*

*Analysis by remaining coverage and incurred claims*

| | Note | 2024 | | | | | |
|---|---|---|---|---|---|---|---|
| | | Liabilities for remaining coverage | | Liabilities for incurred claims | | | |
| | | | | | Contracts under PAA | | |
| | | Excluding loss component $ | Loss component $ | Contracts not under PAA $ | Estimates of present value of future cash flows $ | Risk adjustment for non-financial risk $ | Total $ |
| **Balance as at 1 January** | | | | | | | |
| Opening assets | | - | - | - | - | - | - |
| Opening liabilities | | 62,642,953,235 | 373,287,352 | 531,574,958 | 31,452,874 | 584,779 | 63,579,853,198 |
| **Net opening balance** | | 62,642,953,235 | 373,287,352 | 531,574,958 | 31,452,874 | 584,779 | 63,579,853,198 |
| **Changes in the statement of profit or loss and OCI:** | | | | | | | |
| **Insurance revenue** | | | | | | | |
| Contracts under the fair value transition approach | | (1,903,751,875) | - | - | - | - | (1,903,751,875) |
| Other contracts | | (897,002,021) | - | - | - | - | (897,002,021) |
| | 5 | (2,800,753,896) | - | - | - | - | (2,800,753,896) |
| **Insurance service expenses** | | | | | | | |
| Incurred claims and other insurance service expenses | | - | (137,138,981) | 997,542,943 | 246,231,019 | 47,315 | 1,106,682,296 |
| Amortisation of insurance acquisition cash flows | 9 | 869,056,857 | - | - | - | - | 869,056,857 |
| Losses and reversals of losses on onerous contracts | 9 | - | 14,044,676 | - | - | - | 14,044,676 |
| Adjustments to liabilities for incurred claims | | - | - | 100,076,632 | 18,380,537 | - | 118,457,169 |
| | 9 | 869,056,857 | (123,094,305) | 1,097,619,575 | 264,611,556 | 47,315 | 2,108,240,998 |
| Investment components and premium refunds | | (4,978,997,578) | - | 4,978,997,578 | - | - | - |
| **Insurance service result** | | (6,910,694,617) | (123,094,305) | 6,076,617,153 | 264,611,556 | 47,315 | (692,512,898) |
| Net finance expenses from insurance contracts | 6 | 3,139,458,887 | 6,232,540 | 802,420 | 118,651 | - | 3,146,612,498 |
| Effect of movements in exchange rates | | (425,251,963) | (816,288) | (389,211) | (119,837) | (4,281) | (426,581,580) |
| **Total changes in the statement of profit or loss and OCI** | | (4,196,487,693) | (117,678,053) | 6,077,030,362 | 264,610,370 | 43,034 | 2,027,518,020 |
| **Cash flows** | | | | | | | |
| Premiums received | | 12,382,374,656 | - | - | - | - | 12,382,374,656 |
| Claims and other insurance service expenses paid, including investment components | | - | - | (7,261,294,387) | (260,906,030) | - | (7,522,200,417) |
| Insurance acquisition cash flows | | (2,140,730,887) | - | - | - | - | (2,140,730,887) |
| Other amounts received | | - | - | 1,294,168,954 | - | - | 1,294,168,954 |
| **Total cash flows** | | 10,241,643,769 | - | (5,967,125,433) | (260,906,030) | - | 4,013,612,306 |
| **Net closing balance as at 31 December** | | 68,688,109,311 | 255,609,299 | 641,479,887 | 35,157,214 | 627,813 | 69,620,983,524 |
| Closing assets | | - | - | - | - | - | - |
| Closing liabilities | | 68,688,109,311 | 255,609,299 | 641,479,887 | 35,157,214 | 627,813 | 69,620,983,524 |
| **Net closing balance** | | 68,688,109,311 | 255,609,299 | 641,479,887 | 35,157,214 | 627,813 | 69,620,983,524 |

# 21 Insurance and reinsurance contracts (continued)

## (a) Movements in insurance and reinsurance contract balances (continued)

### (i) Insurance contracts (continued)

*Analysis by remaining coverage and incurred claims (continued)*

| | Note | 2023 | | | | | |
|---|---|---|---|---|---|---|---|
| | | Liabilities for remaining coverage | | Liabilities for incurred claims | | | |
| | | | | | Contracts under PAA | | |
| | | Excluding loss component $ | Loss component $ | Contracts not under PAA $ | Estimates of present value of future cash flows $ | Risk adjustment for non-financial risk $ | Total $ |
| **Balance as at 1 January** | | | | | | | |
| Opening assets | | - | - | - | - | - | - |
| Opening liabilities | | 54,088,413,849 | 544,472,610 | 405,634,509 | 16,578,029 | 520,285 | 55,055,619,282 |
| **Net opening balance** | | 54,088,413,849 | 544,472,610 | 405,634,509 | 16,578,029 | 520,285 | 55,055,619,282 |
| **Changes in the statement of profit or loss and OCI:** | | | | | | | |
| **Insurance revenue** | | | | | | | |
| Contracts under the fair value transition approach | | (1,917,891,598) | - | - | - | - | (1,917,891,598) |
| Other contracts | | (708,850,008) | - | - | - | - | (708,850,008) |
| | 5 | (2,626,741,606) | - | - | - | - | (2,626,741,606) |
| **Insurance service expenses** | | | | | | | |
| Incurred claims and other insurance service expenses | | - | (128,466,261) | 1,051,023,705 | 241,693,318 | 63,591 | 1,164,314,353 |
| Amortisation of insurance acquisition cash flows | 9 | 810,972,461 | - | - | - | - | 810,972,461 |
| Losses and reversals of losses on onerous contracts | 9 | - | (50,016,701) | - | - | - | (50,016,701) |
| Adjustments to liabilities for incurred claims | | - | - | 110,791,866 | 17,945,677 | - | 128,737,543 |
| | 9 | 810,972,461 | (178,482,962) | 1,161,815,571 | 259,638,995 | 63,591 | 2,054,007,656 |
| Investment components and premium refunds | | (2,865,096,431) | - | 2,865,151,283 | (54,852) | - | - |
| **Insurance service result** | | (4,680,865,576) | (178,482,962) | 4,026,966,854 | 259,584,143 | 63,591 | (572,733,950) |
| Net finance expenses from insurance contracts | 6 | 4,326,917,400 | 8,247,925 | 1,482,787 | (42,249) | - | 4,336,605,863 |
| Effect of movements in exchange rates | | 84,455,375 | (950,221) | (835,376) | 31,131 | 903 | 82,701,812 |
| **Total changes in the statement of profit or loss and OCI** | | (269,492,801) | (171,185,258) | 4,027,614,265 | 259,573,025 | 64,494 | 3,846,573,725 |
| **Cash flows** | | | | | | | |
| Premiums received | | 11,845,898,212 | - | - | - | - | 11,845,898,212 |
| Claims and other insurance service expenses paid, including investment components | | - | - | (3,820,175,764) | (244,698,180) | - | (4,064,873,944) |
| Insurance acquisition cash flows | | (3,021,866,025) | - | - | - | - | (3,021,866,025) |
| Other amounts paid | | - | - | (81,498,052) | - | - | (81,498,052) |
| **Total cash flows** | | 8,824,032,187 | - | (3,901,673,816) | (244,698,180) | - | 4,677,660,191 |
| **Net closing balance as at 31 December** | | 62,642,953,235 | 373,287,352 | 531,574,958 | 31,452,874 | 584,779 | 63,579,853,198 |
| Closing assets | | - | - | - | - | - | - |
| Closing liabilities | | 62,642,953,235 | 373,287,352 | 531,574,958 | 31,452,874 | 584,779 | 63,579,853,198 |
| **Net closing balance** | | 62,642,953,235 | 373,287,352 | 531,574,958 | 31,452,874 | 584,779 | 63,579,853,198 |

# 21 Insurance and reinsurance contracts (continued)

## (a) Movements in insurance and reinsurance contract balances (continued)

### (i) Insurance contracts (continued)

*Analysis by measurement component - Contracts not measured under the PAA*

| | Note | 2024 | | | | |
|---|---|---|---|---|---|---|
| | | | | CSM | | |
| | | Estimates of present value of future cash flows $ | Risk adjustment for non-financial risk $ | Contracts under fair value transition approach $ | Other contracts $ | Total $ |
| **Balance as at 1 January** | | | | | | |
| Opening assets | | - | - | - | - | - |
| Opening liabilities | | 53,686,314,074 | 1,688,581,017 | 6,193,932,885 | 1,905,828,298 | 63,474,656,274 |
| **Net opening balance** | | 53,686,314,074 | 1,688,581,017 | 6,193,932,885 | 1,905,828,298 | 63,474,656,274 |
| **Changes in the statement of profit or loss and OCI:** | | | | | | |
| **Change that relate to current services** | | | | | | |
| CSM recognised for services provided | 5 | - | - | (555,598,556) | (137,048,697) | (692,647,253) |
| Change in risk adjustment for non-financial risk or risk expired | | - | 30,422,618 | - | - | 30,422,618 |
| Experience adjustments | | (103,899,097) | - | - | - | (103,899,097) |
| **Changes that relate to future services** | | | | | | |
| Contracts initially recognised in the year | 21(c) | (836,087,246) | 92,482,466 | - | 765,772,572 | 22,167,792 |
| Changes in estimates that adjust the CSM | | (429,161,373) | (362,237,268) | 1,210,794,188 | (419,395,547) | - |
| Changes in estimates that result in losses and reversals of losses on onerous contracts | | (26,166,012) | 18,042,895 | - | - | (8,123,117) |
| **Changes that relate to past services** | | | | | | |
| Adjustments to liabilities for incurred claims | | 100,076,633 | - | - | - | 100,076,633 |
| Adjustments to liabilities for remaining coverage | | (9,947,306) | - | - | - | (9,947,306) |
| **Insurance service result** | | (1,305,184,401) | (221,289,289) | 655,195,632 | 209,328,328 | (661,949,730) |
| Net finance expenses from insurance contracts | | 2,927,955,567 | - | 171,927,162 | 46,316,352 | 3,146,199,081 |
| Effect of movements in exchange rates | | (355,599,786) | (10,524,996) | (45,609,279) | (14,421,285) | (426,155,346) |
| **Total changes in the statement of profit or loss and OCI** | | 1,267,171,380 | (231,814,285) | 781,513,515 | 241,223,395 | 2,058,094,005 |
| **Cash flows** | | | | | | |
| Premiums received | | 12,023,935,953 | - | - | - | 12,023,935,953 |
| Claims and other insurance service expenses paid, including investment components | | (7,261,294,387) | - | - | - | (7,261,294,387) |
| Insurance acquisition cash flows | | (2,082,439,830) | - | - | - | (2,082,439,830) |
| Other amounts received | | 1,294,168,954 | - | - | - | 1,294,168,954 |
| **Total cash flows** | | 3,974,370,690 | - | - | - | 3,974,370,690 |
| **Net closing balance as at 31 December** | | 58,927,856,144 | 1,456,766,732 | 6,975,446,400 | 2,147,051,693 | 69,507,120,969 |
| Closing assets | | - | - | - | - | - |
| Closing liabilities | | 58,927,856,144 | 1,456,766,732 | 6,975,446,400 | 2,147,051,693 | 69,507,120,969 |
| **Net closing balance** | | 58,927,856,144 | 1,456,766,732 | 6,975,446,400 | 2,147,051,693 | 69,507,120,969 |

# 21 Insurance and reinsurance contracts (continued)

## (a) Movements in insurance and reinsurance contract balances (continued)

### (i) Insurance contracts (continued)

*Analysis by measurement component - Contracts not measured under the PAA (continued)*

| | Note | 2023 | | | | |
|---|---|---|---|---|---|---|
| | | | | CSM | | |
| | | Estimates of present value of future cash flows $ | Risk adjustment for non-financial risk $ | Contracts under fair value transition approach $ | Other contracts $ | Total $ |
| **Balance as at 1 January** | | | | | | |
| Opening assets | | - | - | - | - | - |
| Opening liabilities | | 44,883,106,972 | 1,484,855,270 | 7,705,480,476 | 930,067,065 | 55,003,509,783 |
| **Net opening balance** | | 44,883,106,972 | 1,484,855,270 | 7,705,480,476 | 930,067,065 | 55,003,509,783 |
| **Changes in the statement of profit or loss and OCI:** | | | | | | |
| **Change that relate to current services** | | | | | | |
| CSM recognised for services provided | 5 | - | - | (592,406,770) | (121,087,634) | (713,494,404) |
| Change in risk adjustment for non-financial risk or risk expired | | - | 21,731,297 | - | - | 21,731,297 |
| Experience adjustments | | 56,616,448 | - | - | - | 56,616,448 |
| **Changes that relate to future services** | | | | | | |
| Contracts initially recognised in the year | 21(c) | (1,096,725,819) | 112,285,163 | - | 1,041,667,711 | 57,227,055 |
| Changes in estimates that adjust the CSM | | 924,980,173 | 50,020,351 | (988,562,936) | 13,562,412 | - |
| Changes in estimates that result in losses and reversals of losses on onerous contracts | | (49,673,402) | 15,690,963 | (73,261,317) | - | (107,243,756) |
| **Changes that relate to past services** | | | | | | |
| Adjustments to liabilities for incurred claims | | 110,791,866 | - | - | - | 110,791,866 |
| Adjustments to liabilities for remaining coverage | | (6,599,994) | - | - | - | (6,599,994) |
| **Insurance service result** | | (60,610,728) | 199,727,774 | (1,654,231,023) | 934,142,489 | (580,971,488) |
| Net finance expenses from insurance contracts | | 4,162,575,779 | 516,519 | 130,677,204 | 42,988,168 | 4,336,757,670 |
| Effect of movements in exchange rates | | 68,437,619 | 3,481,454 | 12,006,228 | (1,369,424) | 82,555,877 |
| **Total changes in the statement of profit or loss and OCI** | | 4,170,402,670 | 203,725,747 | (1,511,547,591) | 975,761,233 | 3,838,342,059 |
| **Cash flows** | | | | | | |
| Premiums received | | 11,486,310,344 | - | - | - | 11,486,310,344 |
| Claims and other insurance service expenses paid, including investment components | | (3,820,175,764) | - | - | - | (3,820,175,764) |
| Insurance acquisition cash flows | | (2,951,832,096) | - | - | - | (2,951,832,096) |
| Other amounts paid | | (81,498,052) | - | - | - | (81,498,052) |
| **Total cash flows** | | 4,632,804,432 | - | - | - | 4,632,804,432 |
| **Net closing balance as at 31 December** | | 53,686,314,074 | 1,688,581,017 | 6,193,932,885 | 1,905,828,298 | 63,474,656,274 |
| Closing assets | | - | - | - | - | - |
| Closing liabilities | | 53,686,314,074 | 1,688,581,017 | 6,193,932,885 | 1,905,828,298 | 63,474,656,274 |
| **Net closing balance** | | 53,686,314,074 | 1,688,581,017 | 6,193,932,885 | 1,905,828,298 | 63,474,656,274 |

# 21 Insurance and reinsurance contracts (continued)

## (a) Movements in insurance and reinsurance contract balances (continued)

### (ii) Reinsurance contracts

*Analysis by remaining coverage and incurred claims*

| | Note | 2024 | | | | |
|---|---|---|---|---|---|---|
| | | Assets for remaining coverage | | Assets for incurred claims | | |
| | | Excluding loss recovery component $ | Loss-recovery component $ | Contracts not under PAA $ | Contracts under PAA $ | Total $ |
| **Balance as at 1 January** | | | | | | |
| Opening assets | | 5,747,747,348 | 181,666,893 | 563,114,593 | 25,136,830 | 6,517,665,664 |
| Opening liabilities | | - | - | - | - | - |
| **Net opening balance** | | 5,747,747,348 | 181,666,893 | 563,114,593 | 25,136,830 | 6,517,665,664 |
| **Changes in the statement of profit or loss and OCI:** | | | | | | |
| **Allocation of reinsurance premium paid** | | (214,459,392) | - | - | - | (214,459,392) |
| **Amounts recoverable from reinsurers** | | | | | | |
| Recoveries of incurred claims and other insurance service expenses | | - | (101,119,380) | 161,802,808 | 11,016,211 | 71,699,639 |
| Recoveries and reversals of recoveries of losses on onerous underlying contracts | | - | (5,809,184) | - | - | (5,809,184) |
| Adjustments to assets for incurred claims | | - | - | 79,741,078 | 4,623,655 | 84,364,733 |
| | | - | (106,928,564) | 241,543,886 | 15,639,866 | 150,255,188 |
| Investment components and premium refunds | | (1,437,930,314) | - | 1,437,626,072 | 304,242 | - |
| Effect of changes in non-performance risk of reinsurers | | 4,835,665 | - | - | - | 4,835,665 |
| **Net expenses from reinsurance contracts** | | (1,647,554,041) | (106,928,564) | 1,679,169,958 | 15,944,108 | (59,368,539) |
| Net finance incomes from reinsurance contracts | 6 | 423,135,445 | 4,252,826 | 411,010 | 18,224 | 427,817,505 |
| Effect of movement in exchange rates | | (46,124,185) | (466,493) | (1,677,975) | (20,213) | (48,288,866) |
| **Total changes in the statement of profit or loss and OCI** | | (1,270,542,781) | (103,142,231) | 1,677,902,993 | 15,942,119 | 320,160,100 |
| **Cash flows** | | | | | | |
| Premiums paid | | 1,816,281,982 | - | - | - | 1,816,281,982 |
| Amounts received | | - | - | (2,613,451,738) | (2,505,899) | (2,615,957,637) |
| Other amounts (received)/paid | | (28,473,149) | - | 781,039,208 | - | 752,566,059 |
| **Total cash flows** | | 1,787,808,833 | - | (1,832,412,530) | (2,505,899) | (47,109,596) |
| **Net closing balance as at 31 December** | | 6,265,013,400 | 78,524,662 | 408,605,056 | 38,573,050 | 6,790,716,168 |
| Closing assets | | 6,265,013,400 | 78,524,662 | 408,605,056 | 38,573,050 | 6,790,716,168 |
| Closing liabilities | | - | - | - | - | - |
| **Net closing balance** | | 6,265,013,400 | 78,524,662 | 408,605,056 | 38,573,050 | 6,790,716,168 |

# 21 Insurance and reinsurance contracts (continued)

## (a) *Movements in insurance and reinsurance contract balances (continued)*

### (ii) *Reinsurance contracts (continued)*

*Analysis by remaining coverage and incurred claims (continued)*

| | Note | 2023 | | | | |
|---|---|---|---|---|---|---|
| | | Assets for remaining coverage | | Assets for incurred claims | | |
| | | Excluding loss recovery component $ | Loss-recovery component $ | Contracts not under PAA $ | Contracts under PAA $ | Total $ |
| **Balance as at 1 January** | | | | | | |
| Opening assets | | 5,563,922,101 | 336,586,569 | 518,183,350 | 13,478,054 | 6,432,170,074 |
| Opening liabilities | | - | - | - | - | - |
| **Net opening balance** | | 5,563,922,101 | 336,586,569 | 518,183,350 | 13,478,054 | 6,432,170,074 |
| **Changes in the statement of profit or loss and OCI:** | | | | | | |
| **Allocation of reinsurance premium paid** | | (240,365,711) | - | - | - | (240,365,711) |
| **Amounts recoverable from reinsurers** | | | | | | |
| Recoveries of incurred claims and other insurance service expenses | | - | (163,378,561) | 324,924,028 | 13,474,082 | 175,019,549 |
| Recoveries and reversals of recoveries of losses on onerous underlying contracts | | - | 3,968,727 | - | - | 3,968,727 |
| Adjustments to assets for incurred claims | | - | - | 27,170,919 | 2,578,897 | 29,749,816 |
| | | - | (159,409,834) | 352,094,947 | 16,052,979 | 208,738,092 |
| Investment components and premium refunds | | (1,707,038,985) | - | 1,706,962,096 | 76,889 | - |
| Effect of changes in non-performance risk of reinsurers | | 5,370,768 | - | - | - | 5,370,768 |
| **Net expenses from reinsurance contracts** | | (1,942,033,928) | (159,409,834) | 2,059,057,043 | 16,129,868 | (26,256,851) |
| Net finance incomes from reinsurance contracts | 6 | 190,664,639 | 3,741,050 | 1,858,420 | 15,259 | 196,279,368 |
| Effect of movement in exchange rates | | 11,538,521 | 749,108 | (3,372,350) | (18,120) | 8,897,159 |
| **Total changes in the statement of profit or loss and OCI** | | (1,739,830,768) | (154,919,676) | 2,057,543,113 | 16,127,007 | 178,919,676 |
| **Cash flows** | | | | | | |
| Premiums paid | | 1,919,615,219 | - | - | - | 1,919,615,219 |
| Amounts received | | - | - | (1,031,334,901) | (4,468,231) | (1,035,803,132) |
| Other amounts paid/(received) | | 4,040,796 | - | (981,276,969) | - | (977,236,173) |
| **Total cash flows** | | 1,923,656,015 | - | (2,012,611,870) | (4,468,231) | (93,424,086) |
| **Net closing balance as at 31 December** | | 5,747,747,348 | 181,666,893 | 563,114,593 | 25,136,830 | 6,517,665,664 |
| Closing assets | | 5,747,747,348 | 181,666,893 | 563,114,593 | 25,136,830 | 6,517,665,664 |
| Closing liabilities | | - | - | - | - | - |
| **Net closing balance** | | 5,747,747,348 | 181,666,893 | 563,114,593 | 25,136,830 | 6,517,665,664 |

# 21 Insurance and reinsurance contracts (continued)

## (a) Movements in insurance and reinsurance contract balances (continued)

### (ii) Reinsurance contracts (continued)

*Analysis by measurement component - Contracts not measured under the PAA*

| | Note | 2024 | | | | |
|---|---|---|---|---|---|---|
| | | | | CSM | | |
| | | Estimates of present value of future cash flows $ | Risk adjustment for non-financial risk $ | Contracts under fair value transition approach $ | Other contracts $ | Total $ |
| **Balance as at 1 January** | | | | | | |
| Opening assets | | 5,499,772,167 | 119,478,944 | 862,595,915 | 13,572,153 | 6,495,419,179 |
| Opening liabilities | | - | - | - | - | - |
| **Net opening balance** | | 5,499,772,167 | 119,478,944 | 862,595,915 | 13,572,153 | 6,495,419,179 |
| **Changes in the statement of profit or loss and OCI:** | | | | | | |
| **Change that relate to current services** | | | | | | |
| CSM recognised for services provided | | - | - | (20,759,364) | (8,429,441) | (29,188,805) |
| Change in risk adjustment for non-financial risk or risk expired | | - | 993,922 | - | - | 993,922 |
| Experience adjustments | | (118,664,814) | - | - | - | (118,664,814) |
| **Changes that relate to future services** | | | | | | |
| Contracts initially recognised in the year | 21(c) | (36,459,140) | 8,634,379 | - | 33,798,308 | 5,973,547 |
| Changes in estimates that adjust the CSM | | (53,685,351) | 36,542,129 | (8,150,885) | 25,294,107 | - |
| Changes in estimates that relate to losses and reversals of losses on onerous underlying contracts | | (11,909,859) | 127,129 | - | - | (11,782,730) |
| **Changes that relate to past services** | | | | | | |
| Adjustments to assets for incurred claims | | 79,741,078 | - | - | - | 79,741,078 |
| Effect of changes in non-performance risk of reinsurance | | 4,835,665 | - | - | - | 4,835,665 |
| Net expenses from reinsurance contracts | | (136,142,421) | 46,297,559 | (28,910,249) | 50,662,974 | (68,092,137) |
| Net finance income from reinsurance contracts | | 412,087,953 | - | 15,094,745 | 638,122 | 427,820,820 |
| Effect of movements in exchange rates | | (37,551,069) | (796,419) | (7,760,879) | (2,183,898) | (48,292,265) |
| **Total changes in the statement of profit or loss and OCI** | | 238,394,463 | 45,501,140 | (21,576,383) | 49,117,198 | 311,436,418 |
| **Cash flows** | | | | | | |
| Premiums paid | | 1,809,421,474 | - | - | - | 1,809,421,474 |
| Amounts received | | (2,613,451,738) | - | - | - | (2,613,451,738) |
| Other amounts received | | 752,566,059 | - | - | - | 752,566,059 |
| **Total cash flows** | | (51,464,205) | - | - | - | (51,464,205) |
| **Net closing balance as at 31 December** | | 5,686,702,425 | 164,980,084 | 841,019,532 | 62,689,351 | 6,755,391,392 |
| Closing assets | | 5,686,702,425 | 164,980,084 | 841,019,532 | 62,689,351 | 6,755,391,392 |
| Closing liabilities | | - | - | - | - | - |
| **Net closing balance** | | 5,686,702,425 | 164,980,084 | 841,019,532 | 62,689,351 | 6,755,391,392 |

# 21 Insurance and reinsurance contracts (continued)

## (a) *Movements in insurance and reinsurance contract balances (continued)*

### (ii) *Reinsurance contracts (continued)*

*Analysis by measurement component - Contracts not measured under the PAA (continued)*

| | Note | 2023 | | | | |
|---|---|---|---|---|---|---|
| | | | | CSM | | |
| | | Estimates of present value of future cash flows $ | Risk adjustment for non-financial risk $ | Contracts under fair value transition approach $ | Other contracts $ | Total $ |
| **Balance as at 1 January** | | | | | | |
| Opening assets | | 5,012,071,463 | 80,044,866 | 1,300,861,100 | 31,126,920 | 6,424,104,349 |
| Opening liabilities | | - | - | - | - | - |
| **Net opening balance** | | 5,012,071,463 | 80,044,866 | 1,300,861,100 | 31,126,920 | 6,424,104,349 |
| **Changes in the statement of profit or loss and OCI:** | | | | | | |
| **Change that relate to current services** | | | | | | |
| CSM recognised for services provided | | - | - | (82,921,967) | (8,420,977) | (91,342,944) |
| Change in risk adjustment for non-financial risk or risk expired | | - | 497,357 | - | - | 497,357 |
| Experience adjustments | | 18,581,108 | - | - | - | 18,581,108 |
| **Changes that relate to future services** | | | | | | |
| Contracts initially recognised in the year | 21(c) | (16,515,011) | 7,327,249 | - | 10,713,009 | 1,525,247 |
| Changes in estimates that adjust the CSM | | 361,092,010 | 31,051,093 | (371,650,276) | (20,492,827) | - |
| Changes in estimates that relate to losses and reversals of losses on onerous underlying contracts | | 2,412,841 | 30,637 | - | - | 2,443,478 |
| **Changes that relate to past services** | | | | | | |
| Adjustments to assets for incurred claims | | 27,170,921 | - | - | - | 27,170,921 |
| Effect of changes in non-performance risk of reinsurance | | 5,370,768 | - | - | - | 5,370,768 |
| Net expenses from reinsurance contracts | | 398,112,637 | 38,906,336 | (454,572,243) | (18,200,795) | (35,754,065) |
| Net finance income from reinsurance contracts | | 180,728,216 | 39,027 | 14,849,406 | 633,681 | 196,250,330 |
| Effect of movements in exchange rates | | 6,971,045 | 488,715 | 1,457,652 | 12,347 | 8,929,759 |
| **Total changes in the statement of profit or loss and OCI** | | 585,811,898 | 39,434,078 | (438,265,185) | (17,554,767) | 169,426,024 |
| **Cash flows** | | | | | | |
| Premiums paid | | 1,910,459,880 | - | - | - | 1,910,459,880 |
| Amounts received | | (1,031,334,901) | - | - | - | (1,031,334,901) |
| Other amounts received | | (977,236,173) | - | - | - | (977,236,173) |
| **Total cash flows** | | (98,111,194) | - | - | - | (98,111,194) |
| **Net closing balance as at 31 December** | | 5,499,772,167 | 119,478,944 | 862,595,915 | 13,572,153 | 6,495,419,179 |
| Closing assets | | 5,499,772,167 | 119,478,944 | 862,595,915 | 13,572,153 | 6,495,419,179 |
| Closing liabilities | | - | - | - | - | - |
| **Net closing balance** | | 5,499,772,167 | 119,478,944 | 862,595,915 | 13,572,153 | 6,495,419,179 |

## 21 Insurance and reinsurance contracts (continued)

### *(b) Assets for insurance acquisition cash flows*

The following table shows the reconciliation from the opening to the closing balance for assets for insurance acquisition cash flows.

| | $ |
|---|---|
| Balance as at 1 January 2023 | 1,410,810 |
| Amounts incurred during the year | 2,879,971,565 |
| Amounts derecognised and included in the measurement of insurance contracts (note 9) | (2,878,973,606) |
| Balance as at 31 December 2023 | 2,408,769 |
| | |
| Balance as at 1 January 2024 | 2,408,769 |
| Amounts incurred during the year | 2,153,259,984 |
| Amounts derecognised and included in the measurement of insurance contracts (note 9) | (2,152,613,071) |
| Balance as at 31 December 2024 | 3,055,682 |

The following table sets out when the group expects to derecognise assets for insurance acquisition cash flows after the reporting date.

| | *As at 31 December 2024* $ | *As at 31 December 2023* $ |
|---|---|---|
| One year or less | 219,762 | 115,162 |
| Two to five years | 647,123 | 557,281 |
| Five to ten years | 643,751 | 512,924 |
| More than ten years | 1,545,046 | 1,223,402 |
| | 3,055,682 | 2,408,769 |

## 21 Insurance and reinsurance contracts (continued)

### (c) *Effect of contracts initially recognised in the year*

The following tables summarise the effect on the measurement components arising from the initial recognition of insurance and reinsurance contracts not measured under the PAA during the period.

*(i) Insurance contracts*

| | *Profitable contracts issued* $ | *Onerous contracts issued* $ | *Total* $ |
|---|---|---|---|
| Year ended 31 December 2024 | | | |
| Claims and other insurance service expense payable | 7,178,588,191 | 1,130,042,044 | 8,308,630,235 |
| Insurance acquisition cash flows | 1,916,086,910 | 179,403,835 | 2,095,490,745 |
| Estimate of present value of cash outflows | 9,094,675,101 | 1,309,445,879 | 10,404,120,980 |
| Estimates of present value of cash inflows | (9,944,835,073) | (1,295,373,153) | (11,240,208,226) |
| Risk adjustment for non-financial risk | 84,387,400 | 8,095,066 | 92,482,466 |
| CSM | 765,772,572 | - | 765,772,572 |
| Losses recognised on initial recognition | - | 22,167,792 | 22,167,792 |
| Year ended 31 December 2023 | | | |
| Claims and other insurance service expense payable | 7,964,135,064 | 1,670,473,259 | 9,634,608,323 |
| Insurance acquisition cash flows | 2,568,478,705 | 551,603,252 | 3,120,081,957 |
| Estimate of present value of cash outflows | 10,532,613,769 | 2,222,076,511 | 12,754,690,280 |
| Estimates of present value of cash inflows | (11,671,568,686) | (2,179,847,413) | (13,851,416,099) |
| Risk adjustment for non-financial risk | 97,287,206 | 14,997,957 | 112,285,163 |
| CSM | 1,041,667,711 | - | 1,041,667,711 |
| Losses recognised on initial recognition | - | 57,227,055 | 57,227,055 |

## 21 Insurance and reinsurance contracts (continued)

### *(c) Effect of contracts initially recognised in the year (continued)*

*(ii) Reinsurance contracts*

| | *Reinsurance contracts held* $ |
|---|---|
| Balance as at 31 December 2024 | |
| Estimates of present value of cash inflows | 2,552,710,518 |
| Estimates of present value of cash outflows | (2,589,169,658) |
| Risk adjustment for non-financial risk | 8,634,379 |
| Income recognised on initial recognition | (5,973,547) |
| CSM | (33,798,308) |
| Balance as at 31 December 2023 | |
| Estimates of present value of cash inflows | 652,086,481 |
| Estimates of present value of cash outflows | (668,601,492) |
| Risk adjustment for non-financial risk | 7,327,249 |
| Income recognised on initial recognition | (1,525,247) |
| CSM | (10,713,009) |

### *(d) Contractual service margin*

The following table sets out when the group expects to recognise the remaining CSM in profit or loss after the reporting date for contracts not measured under the PAA.

| | *31 December 2024* | | | | |
|---|---|---|---|---|---|
| | *1 year or less* $ | *2 to 5 years* $ | *5 to 10 years* $ | *More than 10 years* $ | *Total* $ |
| Insurance contracts | 741,816,554 | 2,437,909,268 | 2,023,749,388 | 3,919,022,883 | 9,122,498,093 |
| Reinsurance contracts | (62,788,881) | (290,411,919) | (221,208,620) | (329,299,463) | (903,708,883) |

| | *31 December 2023* | | | | |
|---|---|---|---|---|---|
| | *1 year or less* $ | *2 to 5 years* $ | *5 to 10 years* $ | *More than 10 years* $ | *Total* $ |
| Insurance contracts | 683,852,905 | 2,228,971,557 | 1,841,387,730 | 3,345,548,991 | 8,099,761,183 |
| Reinsurance contracts | (41,789,193) | (300,921,777) | (243,075,068) | (290,382,030) | (876,168,068) |

## 21 Insurance and reinsurance contracts (continued)

### *(e) Significant judgements and estimates*

(i) Fulfilment cash flows

Fulfilment cash flows comprise:

- estimates of future cash flows;
- an adjustment to reflect the time value of money and the financial risks related to future cash flows, to the extent that the financial risks are not included in the estimates of future cash flows; and
- a risk adjustment for non-financial risk.

The group's objective in estimating future cash flows is to determine the expected value of a range of scenarios that reflects the full range of possible outcomes. The cash flows from each scenario are discounted and weighted by the estimated probability of that outcome to derive an expected present value. If there are insurance contracts with significant financial options and guarantees, then the group uses stochastic modelling techniques to estimate the expected present value. Stochastic modelling involves projecting future cash flows under a large number of possible economic scenarios for market variables.

**Estimates of future cash flows**

In estimating future cash flows, the group incorporates, in an unbiased way, all reasonable and supportable information that is available without undue cost or effort at the reporting date. This information includes both internal and external data about claims and other experience, updated to reflect current expectations of future events.

The estimates of future cash flows reflect the group's view of current conditions at the reporting date, as long as the estimates of any relevant market variables are consistent with observable market prices.

When estimating future cash flows, the group takes into account current expectations of future events that might affect those cash flows. However, expectations of future changes in legislation that would change or discharge a present obligation or create new obligations under existing contracts are not taken into account until the change in legislation is substantively enacted.

Cash flows within the boundary of a contract relate directly to the fulfilment of the contract, including those for which the group has discretion over the amount or timing. These include payments to (or on behalf of) policyholders, insurance acquisition cash flows and other costs that are incurred in fulfilling contracts.

To determine how to identify a change in discretionary cash flows, the group generally regards its commitment to be the return implicit in the estimate of the fulfilment cash flows at inception of the contract, updated to reflect current financial risk assumptions.

## 21 Insurance and reinsurance contracts (continued)

### *(e) Significant judgements and estimates (continued)*

(i) Fulfilment cash flows (continued)

Insurance acquisition cash flows arise from the activities of selling, underwriting and starting a group of contracts that are directly attributable to the portfolio of contracts to which the group belongs. Other costs that are incurred in fulfilling the contracts include:

- claims handling, maintenance and administration costs;
- costs that the group will incur in providing investment services; and
- costs that the group will incur in performing investment activities to the extent that the group performs them to enhance benefits from insurance coverage for policyholders by generating an investment return from which policyholders will benefit if an insured event occurs.

Insurance acquisition cash flows and other costs that are incurred in fulfilling contracts comprise both direct costs and an allocation of fixed and variable overheads.

Cash flows are attributed to acquisition activities, other fulfilment activities and other activities using activity-based costing techniques. Cash flows attributable to acquisition and other fulfilment activities are allocated to groups of contracts using methods that are systematic and rational and are consistently applied to all costs that have similar characteristics. Other costs are recognised in profit or loss as they are incurred.

**Methodology and assumptions**

(1) Mortality

Prudent mortality tables and industry mortality tables with margins are used. They are compared with the group's internal mortality experience on a regular basis to ensure their appropriateness.

(2) Morbidity

Morbidity is based on the reinsurer's risk premiums which are relevant to its market experience. It is compared with the group's internal morbidity experience on a regular basis to ensure its appropriateness.

(3) Withdrawal

Withdrawal rates are determined with reference to pricing assumptions and actual experience.

## 21 Insurance and reinsurance contracts (continued)

### *(e) Significant judgements and estimates (continued)*

(i) Fulfilment cash flows (continued)

(4) Discount rates

All cash flows are discounted using risk-free yield curves adjusted to reflect the characteristics of the cash flows and the liquidity of the insurance contracts.

The tables below set out the spot rates used to discount the cash flows of insurance contracts for major currencies.

| As at 31 December 2024 | *1 year* | *5 years* | *10 years* | *15 years* | *20 years* |
|---|---|---|---|---|---|
| USD | 4.11% - 4.85% | 4.34% - 5.08% | 4.55% - 5.29% | 4.77% - 5.51% | 4.90% - 5.64% |
| HKD | 3.88% - 4.62% | 3.60% - 4.34% | 3.65% - 4.39% | 3.72% - 4.46% | 3.75% - 4.49% |

| As at 31 December 2023 | *1 year* | *5 years* | *10 years* | *15 years* | *20 years* |
|---|---|---|---|---|---|
| USD | 4.70% - 5.54% | 3.79% - 4.63% | 3.83% - 4.67% | 3.93% - 4.78% | 4.27% - 5.11% |
| HKD | 4.28% - 5.12% | 3.27% - 4.11% | 3.29% - 4.13% | 3.41% - 4.25% | 3.47% - 4.31% |

Cash flows that vary based on the returns on any financial underlying items are adjusted for the effect of that variability using risk-neutral measurement techniques and discounted using the risk-free rates as adjusted for illiquidity.

**Risk adjustments for non-financial risk**

Risk adjustments for non-financial risk are determined to reflect the compensation that the group would require for bearing non-financial risk.

The risk adjustments for non-financial risk are determined using a confidence level technique. The group estimates the probability distribution of the expected present value of the future cash flows from insurance contracts at each reporting date and calculates the risk adjustment for non-financial risk as the excess of the value at risk at the 75th percentile (the target confidence level) over the expected present value of the future cash flows.

To determine the risk adjustments for non-financial risk for reinsurance contracts, the group applies these techniques both gross and net of reinsurance and derives the amount of risk being transferred to the reinsurer as the difference between the two results.

(ii) Contractual service margin

The CSM of a group of contracts is recognised in profit or loss to reflect services provided in each year based on the number of coverage units provided in the year, which is determined by considering for each contract the quantity of the benefits provided and its expected coverage period. The coverage units are reviewed and updated at each reporting date.

## 21 Insurance and reinsurance contracts (continued)

### *(e) Significant judgements and estimates (continued)*

(iii) Investment components

The group identifies the investment component of a contract by determining the amount that it would be required to repay to the policyholder in all scenarios with commercial substance. These include circumstances in which an insured event occurs or the contract matures or is terminated without an insured event occurring, i.e. surrender value in general. Investment components are excluded from insurance revenue and insurance service expenses.

(iv) Fair value of insurance contracts

The group applied the fair value approach on transition to HKFRS 17. Actuarial appraisal method is selected as the underlying methodology.

The cash flows considered in the fair value measurement are consistent with those that were within the contract boundary. Therefore, the cash flows related to expected future renewals of insurance contracts are not considered in determining the fair value of those contracts if they are outside the contract boundary.

The group's approach to measuring fair value differs from the HKFRS 17 requirements for measuring fulfilment cash flows in certain respects. These differences gave rise to a CSM at the date of transition. In particular, in measuring fair value the group:

- considers the cash flows included in the measurement of fulfilment cash flows but adjusts them to reflect the perspective of market participants. For example, expense cash flows are increased to cover a reasonable level of general overheads that are not directly attributable to fulfilling the insurance contracts but that a market participant acquiring the contracts would expect to bear; and

- includes a margin comprising a risk premium to reflect what market participants would demand as compensation for the uncertainty inherent in the cash flows and a profit margin to reflect what market participants would require to assume the obligations to service the insurance contracts.

(v) Underlying items of contracts with direct participating features

See note 18 for the composition and the fair value of underlying items of the group's participating contracts at the reporting date.

## 22 Investment contract liabilities

| | *Note* | *2024* $ | *2023* $ |
|---|---|---|---|
| Policyholders' deposits | (i) | 4,467,913,936 | 4,505,380,762 |
| Future policyholders' benefits | (ii) | 89,846,352 | 82,833,539 |
| Unearned revenue liability | (iii) | 538,708,456 | 533,934,623 |
| | | 5,096,468,744 | 5,122,148,924 |

Notes:

(i) Policyholders' deposits

Analysis of movement in policyholders' deposits:

| | *2024* $ | *2023* $ |
|---|---|---|
| At 1 January | 4,505,380,762 | 4,609,596,929 |
| Contributions received during the year | 100,684,951 | 120,512,176 |
| Net fee and charges deducted from account balances (note 7) | (21,043,912) | (26,208,920) |
| Interest credited to account balances | 182,838,560 | 179,053,610 |
| Redemptions due for payment in current year | (287,507,463) | (351,335,610) |
| Other movements | (8,515,880) | (25,820,776) |
| Exchange alignment | (3,923,082) | (416,647) |
| At 31 December | 4,467,913,936 | 4,505,380,762 |

## 22 Investment contract liabilities (continued)

(ii) Future policyholders' benefits

Analysis of movement in future policyholders' benefits:

| | *2024* $ | *2023* $ |
|---|---|---|
| At 1 January | 82,833,539 | 70,968,300 |
| Movement during the year | 7,086,482 | 11,862,597 |
| Exchange alignment | (73,669) | 2,642 |
| At 31 December | 89,846,352 | 82,833,539 |

(iii) Unearned revenue liability

Analysis of movement in unearned revenue liability:

| | *2024* $ | *2023* $ |
|---|---|---|
| At 1 January | 533,934,623 | 524,822,566 |
| Amount deferred | 18,625,432 | 23,296,640 |
| Amortisation and other adjustments for the year | (13,384,830) | (14,151,249) |
| | 5,240,602 | 9,145,391 |
| Exchange alignment | (466,769) | (33,334) |
| At 31 December | 538,708,456 | 533,934,623 |

(iv) The amount of investment contract liabilities expected to be settled after more than one year is $4,844,825,441 (2023: $4,871,803,487). The fair value of these liabilities is the amount payable on demand, and changes in the credit risk of these liabilities have not had any material impact on their fair value.

## 23 Lease liabilities

The following table shows the remaining contractual maturities of the group's lease liabilities at the end of the current and previous reporting period:

| | 2024 | | 2023 | |
|---|---|---|---|---|
| | *Present value of the lease payments* $ | *Total lease payments* $ | *Present value of the lease payments* $ | *Total lease payments* $ |
| Within 1 year | 88,805,769 | 93,756,692 | 111,857,372 | 116,106,046 |
| After 1 year but within 2 years | 51,530,546 | 53,734,093 | 63,509,499 | 65,118,704 |
| After 2 years but within 5 years | 24,889,035 | 25,435,782 | 29,934,420 | 30,358,591 |
| | 76,419,581 | 79,169,875 | 93,443,919 | 95,477,295 |
| | 165,225,350 | 172,926,567 | 205,301,291 | 211,583,341 |
| Less: total future interest expenses | | 7,701,217 | | 6,282,050 |
| Present value of lease liabilities | | 165,225,350 | | 205,301,291 |

## 24 Other liabilities

| | *Note* | *2024* $ | *2023* $ |
|---|---|---|---|
| Payables and accrued expenses | | 405,299,403 | 387,021,289 |
| Other liabilities | (i) | 230,224,859 | 219,511,046 |
| | (ii) | 635,524,262 | 606,532,335 |

Notes:

(i) Other liabilities represented policyholders' deposits of $216,631,426 (2023: $205,634,018) and future policyholders' benefits of $13,593,433 (2023: $13,877,028) relating to other business.

(ii) All of other liabilities and payables are expected to be settled within one year or on demand.

## 25 Income tax in the statement of financial position

### *(a) Tax payable in the statement of financial position represents:*

| | *2024* $ | *2023* $ |
|---|---|---|
| **Hong Kong Profits Tax** | | |
| Provision for Hong Kong Profits Tax for the year | 68,773,524 | 58,543,005 |
| Provisional Profits Tax paid | (44,131,336) | (46,098,812) |
| | 24,642,188 | 12,444,193 |
| Balance of Profits Tax provision relating to prior years | (21,332) | (86,688) |
| | 24,620,856 | 12,357,505 |
| **Macau Complementary Tax** | | |
| Provision for Macau Complementary Tax for the year | 7,838,115 | 54,928,178 |
| Balance of provision for Macau Complementary Tax relating to prior years | 612,316 | 259,152 |
| | 8,450,431 | 55,187,330 |
| | 33,071,287 | 67,544,835 |
| Amount of tax payable expected to be settled within one year | 33,071,287 | 67,544,835 |

### *(b) Deferred tax assets/(liabilities) recognised:*

*(i) Movement of each component of deferred tax assets and liabilities*

The components of deferred tax assets/(liabilities) recognised in the consolidated statement of financial position and the movements during the year are as follows:

Deferred tax arising from:

| | *Note* | *Different reporting basis in foreign jurisdictions* $ | *Expected credit loss* $ | *Revaluation of investments* $ | *Total* $ |
|---|---|---|---|---|---|
| At 1 January 2023 - Net | | (310,621,298) | 4,191,054 | 31,848,455 | (274,581,789) |
| Charged to profit or loss | 10(a) | 2,534,483 | 3,208,535 | - | 5,743,018 |
| Charged to reserves | 10(b) | 79,196,102 | - | 34,686,742 | 113,882,844 |
| At 31 December 2023 and at 1 January 2024 - Net | | (228,890,713) | 7,399,589 | 66,535,197 | (154,955,927) |
| Charged to profit or loss | 10(a) | (52,647,479) | (3,233,337) | - | (55,880,816) |
| Charged to reserves | 10(b) | 29,471,646 | - | 28,065,686 | 57,537,332 |
| At 31 December 2024 - Net | | (252,066,546) | 4,166,252 | 94,600,883 | (153,299,411) |

## 25 Income tax in the statement of financial position (continued)

### *(b) Deferred tax assets/(liabilities) recognised: (continued)*

*(i) Movement of each component of deferred tax assets and liabilities (continued)*

The group has not recognised deferred tax assets in respect of tax losses of $4,018,434 at 31 December 2024 (2023: $3,877,398) as the directors considered that it is not probable that future taxable profits against which the losses can be utilised will be available in the relevant tax jurisdiction and entity. As at 31 December 2024, all tax losses do not expire under the current tax legislation.

*(ii) Reconciliation to the consolidated statement of financial position*

| | *2024* $ | *2023* $ |
|---|---|---|
| Net deferred tax asset in the consolidated statement of financial position | 98,767,135 | 73,934,786 |
| Net deferred tax liability in the consolidated statement of financial position | (252,066,546) | (228,890,713) |
| | (153,299,411) | (154,955,927) |

## 26 Capital and reserves

**Reserve**

The fair value reserve comprises the cumulative net change in the fair value of debt securities measured at fair value through other comprehensive income held at the end of the reporting period (see note 1(g)).

The fair value reserve (non-recycling) comprises the cumulative net change in the fair value of equity investments designated at FVOCI under HKFRS 9 that are held at the end of the reporting period (see note 1(g)).

The hedging reserve comprises the effective portion of the cumulative net change in the fair value of hedging instruments used in cash flow hedges pending subsequent recognition of the hedged cash flow in accordance with the accounting policy adopted for cash flow hedges (see note 1(i)).

The exchange reserve comprises all foreign currency exchange differences arising from the translation of the financial statements of foreign operations.

The insurance and reinsurance finance reserve comprises the cumulative insurance or reinsurance finance income or expenses recognised in other comprehensive income.

## 26 Capital and reserves (continued)

### *(a) The company*

| | *Share capital* $ | *Fair value reserve (recycling)* $ | *Fair value reserve (non-recycling)* $ | *Hedging reserve* $ | *Exchange reserve* $ | *Insurance finance reserve* $ | *Reinsurance finance reserve* $ | *Retained earnings* $ | *Total* $ |
|---|---|---|---|---|---|---|---|---|---|
| Balance at 1 January 2023 | 4,540,000,000 | (4,650,382,448) | (31,853,078) | - | 69,657,086 | 5,840,403,602 | 91,351,559 | 9,940,401,068 | 15,799,577,789 |
| *Change in equity for the year ended 31 December 2023* | | | | | | | | | |
| Profit for the year | - | - | - | - | - | - | - | 963,486,810 | 963,486,810 |
| Other comprehensive income for the year | - | 1,411,050,074 | 11,065,589 | 35,430,847 | (41,681,892) | (2,017,667,265) | 100,151,846 | - | (501,650,801) |
| Transfer from fair value reserve (non-recycling) to retained earnings on disposal | - | - | 20,787,489 | - | - | - | - | (20,787,489) | - |
| Balance at 31 December 2023 and 1 January 2024 | 4,540,000,000 | (3,239,332,374) | - | 35,430,847 | 27,975,194 | 3,822,736,337 | 191,503,405 | 10,883,100,389 | 16,261,413,798 |
| *Change in equity for the year ended 31 December 2024* | | | | | | | | | |
| Profit for the year | - | - | - | - | - | - | - | 941,644,796 | 941,644,796 |
| Other comprehensive income for the year | - | (1,184,578,551) | - | (357,727,924) | (82,164,032) | (19,488,884) | 166,492,576 | - | (1,477,466,815) |
| Balance at 31 December 2024 | 4,540,000,000 | (4,423,910,925) | - | (322,297,077) | (54,188,838) | 3,803,247,453 | 357,995,981 | 11,824,745,185 | 15,725,591,779 |

## 26 Capital and reserves (continued)

### (b) *Issued share capital*

| | 2024 | | 2023 | |
|---|---|---|---|---|
| | No. of shares | Amount $ | No. of shares | Amount $ |
| **Ordinary shares, issued and fully paid:** | | | | |
| At 1 January and 31 December | 3,716,000,000 | 4,540,000,000 | 3,716,000,000 | 4,540,000,000 |

In accordance with section 135 of the Hong Kong Companies Ordinance, the ordinary shares of the group and the company do not have a par value.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the company. All ordinary shares rank equally with regard to the company's residual assets.

### (c) *Capital management*

The group's primary objectives when managing capital are to safeguard the group's ability to meet its obligations and continue as a going concern, so that it can continue to provide returns for shareholders, by pricing products and services commensurately with the level of risk and by securing access to finance at a reasonable cost.

The capital structure of the group consists of share capital and reserves as shown in the consolidated statement of financial position. In respect of the group's insurance operations in Hong Kong and Macau, the regulators are interested in ensuring that the company maintains an appropriate solvency position to meet its liabilities arising from claims maturities and surrenders from its life insurance contracts. Pursuant to the Hong Kong Insurance Ordinance and the Macau Insurance Ordinance, the company has to meet the requirements on solvency margin. If the company fails to comply with the requirements, the regulators may require the company to submit a plan for the restoration of a sound financial position or a short term financial scheme as appropriate, to the satisfaction of the regulators. The company complied with the solvency margin requirements for the years ended 31 December 2024 and 2023.

## 27 Commitments

### (a) *Capital commitments*

The group has capital commitments amounted to $1,858,930 (2023: $34,280,118). The amount was not provided for in the financial statements.

### (b) *Investment commitments*

In the normal course of business, the group enters into commitments to purchase certain investments. The group has investment commitments contracted for amounted to $2,951,504,089 (2023: $2,047,128,472). The amount was not provided in the financial statements.

## 28 Material related party transactions

### *(a) Transactions with key management personnel*

The remuneration for key management personnel, including amounts paid to the company's directors disclosed in note 11 to the financial statements, is as follows:

| | *2024* $ | *2023* $ |
|---|---|---|
| Short term employee benefits | 9,040,640 | 27,802,289 |
| Post employment benefits | 670,728 | 1,549,371 |
| | 9,711,368 | 29,351,660 |

Total remuneration is included in "staff costs" in note 9 to the financial statements.

### *(b) Transactions with other related parties*

During the year, the group entered into the following material related party transactions:

| | *2024* $ | *2023* $ |
|---|---|---|
| Investment management fee paid (note i) | 84,118,833 | 78,951,215 |
| Policies endorsement fee paid (note ii) | 4,160,434 | 4,343,584 |
| Premium received (note iii) | 2,559,867 | 2,532,980 |

Notes:

(i) The group incurred an investment management fee to Barings with significant influence over the immediate holding company of the group. The outstanding balance arising from the transaction amounted to $43,049,898 (2023: $39,411,000).

(ii) The group incurred policies endorsement fee to an entity with significant influence over the immediate holding company of the group. The outstanding balance arising from the transaction amounted to $673,815 (2023: $766,994).

(iii) The group received premium from a fellow subsidiary. The outstanding balance arising from the transaction amounted to $2,559,867 (2023: $2,532,980).

## 29 Company-level statement of financial position at 31 December 2024

| | 31 December 2024 $ | 31 December 2023 $ |
|---|---|---|
| **Assets** | | |
| Fixed assets | 604,705,759 | 631,432,818 |
| Investments in subsidiaries | 159,939,073 | 159,939,073 |
| Deferred tax asset | 98,767,135 | 73,934,786 |
| Intangible asset | 14,929,942 | 15,024,135 |
| Other contract asset | 456,663,099 | 455,953,163 |
| Investments | 77,693,511,365 | 73,372,475,269 |
| Reinsurance contract assets | 6,790,716,168 | 6,517,665,664 |
| Other receivables, deposits and prepayment | 1,468,444,257 | 1,006,207,240 |
| Fixed bank deposits with original maturity over 3 months | 993,798,122 | 1,109,611,001 |
| Cash and cash equivalents | 3,884,905,886 | 3,186,021,555 |
| **Total assets** | 92,166,380,806 | 86,528,264,704 |
| **Liabilities** | | |
| Other liabilities | 854,788,469 | 825,002,976 |
| Financial liabilities at fair value through profit or loss | 425,782,027 | 240,989,212 |
| Tax payable | 28,530,049 | 67,073,361 |
| Insurance contract liabilities | 69,617,927,842 | 63,577,444,429 |
| Investment contract liabilities | 5,096,468,744 | 5,122,148,924 |
| Lease liabilities | 165,225,350 | 205,301,291 |
| Deferred tax liabilities | 252,066,546 | 228,890,713 |
| **Total liabilities** | 76,440,789,027 | 70,266,850,906 |
| **NET ASSETS** | 15,725,591,779 | 16,261,413,798 |

## 29 Company-level statement of financial position at 31 December 2024 (continued)

| | Note | *31 December 2024* $ | *31 December 2023* $ |
|---|---|---|---|
| **CAPITAL AND RESERVES** | | | |
| Share capital | 26(b) | 4,540,000,000 | 4,540,000,000 |
| Retained earnings | 26(a) | 11,824,745,185 | 10,883,100,389 |
| Reserves | 26(a) | (639,153,406) | 838,313,409 |
| **TOTAL EQUITY** | | 15,725,591,779 | 16,261,413,798 |

Approved and authorised for issue by the board of directors on 28 MAR 2025

Huang Xin
Director

Man Ko Chan
Director

## 30 Immediate and ultimate controlling party

At 31 December 2024, the directors consider the immediate parent and ultimate controlling party of the group to be Yunfeng Financial International Holdings Limited and Yunfeng Financial Group Limited respectively, both of which are incorporated in Hong Kong. Yunfeng Financial Group Limited produces financial statements available for public use.

## 31 Possible impact of amendments, new standards and interpretations issued but not yet effective for the year ended 31 December 2024

Up to the date of issue of these financial statements, the HKICPA has issued a number of new or amended standards, which are not yet effective for the year ended 31 December 2024 and which have not been adopted in these financial statements. These developments include the following which may be relevant to the Group.

| | *Effective for accounting periods beginning on or after* |
|---|---|
| Amendments to HKAS 21, *The effects of changes in foreign exchange rates - Lack of exchangeability* | 1 January 2025 |
| Amendments to HKFRS 9, *Financial instruments* and HKFRS 7, *Financial instruments: disclosures - Amendments to the classification and measurement of financial instruments* | 1 January 2026 |
| Annual improvements to HKFRS Accounting Standards - Volume 11 | 1 January 2026 |
| HKFRS 18, *Presentation and disclosure in financial statements* | 1 January 2027 |
| HKFRS 19, *Subsidiaries without public accountability: disclosures* | 1 January 2027 |

The group is in the process of making an assessment of the impact of these developments. It has concluded that the adoption of them is unlikely to have a significant impact on the financial statements.

## 32 Net operating profit after tax

For management decision making and internal performance management purpose, the group refers to the net operating income ("NOI") representing profit generate from core business activities for the year , and is derived from profit after tax under accounting policies same as those applied in preparing the group's consolidated financial statements for the year adjusting for short-term fluctuations in investment returns, short-term fluctuations in discount rate impact applied to the change of fulfilment cash flow of insurance contract liability, short-term fluctuation exchange rate causes the difference between derivative instruction market to market gain/loss and net exchange impact of net asset position denominated in foreign currencies and other items considered either non-recurring in nature and/or considered by management not relevant for evaluation of core business operation result. The net operating income for 2024 amounted to $1,167,000,000 (2023: $1,036,000,000).

## 33 Events after reporting period

On 7 March 2025, the group announced to enter into an asset-backed hybrid facility/investment agreement ("the AHF/I Agreement") with a related company. Under the AHF/I Agreement, the group agreed to provide the related party with a secured, non-revolving term loan facility in the principal amount of $7.6 billion. The AHF/I Agreement is subject to approval of the shareholders of Yunfeng Financial Group Limited.